A Theory of

MINIMAL TOLERANCE



Fede Rodrigo

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A Theory of Minimal Tolerance
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Thank you for picking up my book!
I hope you find it both enjoyable and insightful.

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"This fascinating book of yours makes an important contribution"

Walter E. Block, Ph.D.

To my children

Because everything begins and ends with them

To the friends who walked beside me

To Ale, my dear friend, whom I still miss

To those who still have the courage to question their own certainties

And, most especially, to Isal

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Introduction



WE ARE BORN, WE LIVE, AND WE DIE WITHIN THE STATE. Because of its omnipresence, we rarely examine it as an institution whose functions and scope require explanation. We debate who governs, which policies to adopt, and how to distribute re-sources, but rarely ask a more fundamental question: under what conditions may the exercise of political power be tolerated?

I used to believe the battle was one of arguments, and that the goal was to demonstrate that an idea was right. Later I realized I had been looking at the problem from the wrong perspective. Ideas matter, but institutions matter more. What truly matters is understanding what happens when an idea gains the pow-er to organize the lives of millions of people across generations. Power does not need to be admired to expand. It only needs to be tolerated.

That search led me through very different intellectual traditions. I found strong arguments both for and against the expansion of the State, as well as proposals that questioned the very necessity of its existence. Many offered convincing answers to questions that had been presented for decades as unavoidable justifications for state intervention.

Some of these schools of thought offered extraordinarily powerful moral critiques; others acknowledged practical difficulties that could not easily be dismissed. Yet some depended on assumptions I was unwilling to accept without question, while others identified real situations without explaining why those situations necessarily warranted additional powers.

What was missing was a common criterion for determining what an exception must establish before it could be considered tolerable. The theory of minimal tolerance emerged from that search.

My previous book, *Uruguay: 100 Años de Estatismo* (*Uruguay: 100 Years of Statism*), resulted from years of accumulated evidence, reading, and frustration with the constant expansion of power.

I still find observations in many of its pages that I con-sider valid. But one matter remained unresolved. I had devoted enormous effort to examining conclusions without first establishing how those conclusions should be evaluated.

The theory developed in these pages attempts to formulate that criterion. It does not seek to identify the best way to organize a society or determine which outcomes should be pursued. Its aim is more limited and, precisely for that reason, more demanding: to establish the minimum conditions coercion must meet before it can even be considered tolerable and, once an exception is admitted, how far it may extend without turning that possibility into an open-ended authorization for the expansion of power.

A brief warning, to avoid premature disappointment. Many readers probably know my political position and may expect to find a definitive refutation of the State. They will not find one here. But neither will they find a defense of its existence. What I am trying to achieve is something different.

Nor do I start with the assumption that the State is incapable of producing valuable results. History offers examples of sound decisions. The Louisiana Purchase, for instance, is often regarded as one of the most beneficial transactions in modern history. Denying that would be as lacking in rigor as ignoring the countless examples of failure.

But a favorable outcome does not eliminate the need for limits. Nor does failure automatically justify further expansion. Power can turn both its successes and its failures into reasons to enlarge its authority.

There is another phenomenon as well. All too often, we judge policies according to who proposes them rather than on their merits. The very same power that worries us when exercised by an opponent often seems reasonable when it falls into the hands of someone with whom we agree.

If our beliefs about the limits of power change whenever the government changes, they are probably not guided by principles. As another Marx, far less influential in political theory but considerably funnier, observed: "Those are my principles, and if you don't like them... well, I have others."

Disagreements determine not only the scope of the State but also who decides what they may decide about, and how much room people have to organize their own lives without asking permission. The question is not merely academic.

I do not intend to offer a formula capable of resolving every possible case. There will always be debatable situations and reasonable disagreements. Nor do I expect readers to accept the conclusions I reach. All I hope is that certain assumptions will be examined again rather than continuing to be accepted as self-evident.

We debate how to use power before asking what burden of proof it should have to meet before it may be tolerated. We compare programs, budgets, elections, reforms, and outcomes, while the most basic question remains surprisingly absent.

The pages that follow begin with that observation and propose a more demanding and consistent criterion for evaluating power. The discussion attempts to formulate that criterion and put it to the test.

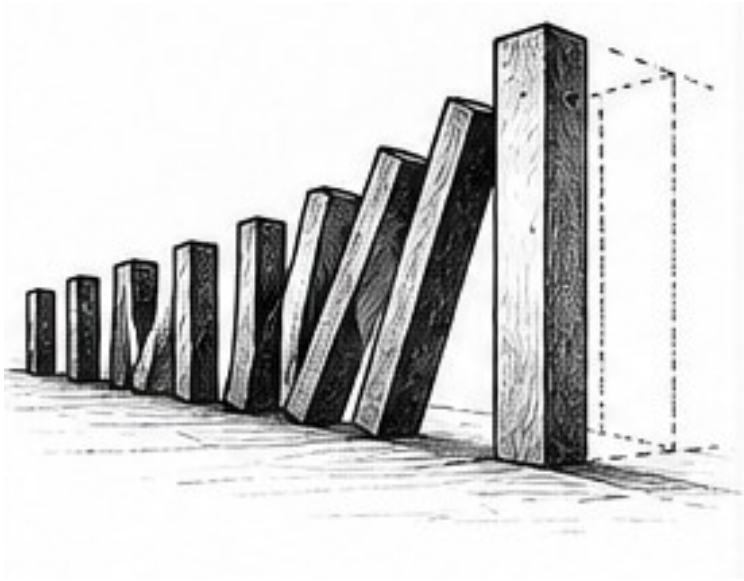
When may coercion be tolerated?

Act One

The Problem

1

The Problem of Tolerance



TO TOLERATE IS NOT TO APPROVE. Nor does tolerating something mean considering it right. It means exceptionally accepting something that remains objectionable.

The word is also commonly used to describe coexistence among people who think or live differently. People are not to be tolerated; they are to be respected. That respect recognizes their dignity and moral equality, even when we consider their ideas or decisions mistaken or even repugnant.

Here, however, what may be tolerated is an interference with liberty. Tolerance means accepting such interference exceptionally without declaring it right.

Compelling an adult who has not violated anyone else's rights to act against their will constitutes a morally objectionable interference. That certain circumstances might allow us to tolerate it does not change its character.

A voluntary relationship depends on the acceptance of those who participate; a coercive relationship continues after that acceptance is refused. When a decision can be made despite the refusal of the person subject to it, the burden of justifying that decision rests with whoever seeks to impose it.

A service requires customers; funding requires contributors; an association requires willing members. Political power claims a different capacity: the ability to impose a decision without securing the acceptance of those subjects to it. That capacity demands a different standard. Coercion can be tolerable only under exceptional conditions.

The danger arises when what was initially admitted as a concession becomes part of the institutional landscape and ceases to be seen as something requiring continual review. Attention shifts away from the very existence of powers and focuses exclusively on who should administer them.

Throughout history, many forms of authority ceased to be viewed as limited concessions and came to be assumed as permanent components of the social order. Obedience to a monarch was regarded as so obvious that it was rarely examined. Few people asked why certain families should rule over others or precisely where that right came from. Familiarity with an institution eventually replaced scrutiny of its foundations.

Modern societies generally consider themselves radically different, but the underlying phenomenon remains. The debate no longer concerns the divine right of kings but the powers of the State. The form of authority has changed. The tendency to take it for granted has not.

Permanence also silently reverses the burden of justification. An institution created to address a specific circumstance may eventually demand that its critics explain why it should disappear, as though longevity had transformed an initial concession into a permanent right. An agency exists because it existed yesterday, power continues because no one managed to abolish it, and a policy finds in its own age the principal evidence that it is still necessary.

Yet the passage of time does not turn a past necessity into a present entitlement. The existence of an institution explains how it has survived until today; it does not establish that the reasons for creating it still hold. When habit takes the place of that review, tolerance begins to operate as an inheritance.

Democracy determines who governs; it does not, by itself, determine what those in power may impose. Electing authorities is not the same as authorizing them to decide anything they wish. Voting and setting the limits of power are different matters.

The number of people who support a measure is not enough to justify imposing it on those who reject it. The racial segregation enforced by law for decades in the United States makes this clear: broad political support does not make an injustice acceptable.

Bastiat expressed the same intuition in more general terms: an injustice does not cease to be an injustice merely because many people commit it rather than one. Arrow would later show, from another angle, the difficulties of turning diverse individual preferences into a single coherent collective will.

In a voluntary relationship, one may decline to participate, withdraw, or stop financing what one does not accept. In politics, that possibility disappears. A decision may be imposed even on someone who explicitly opposes it.

Constitutions, individual rights, and limits on power exist because an election does not confer unlimited authority. Democracy remains, because of its incentives and its ability to replace rulers without violence, the best system we know for distributing and controlling power. That merit does not turn an electoral victory into a mandate over every aspect of other people's lives.

We Are All the State

A lasting structure requires more than the capacity to coerce. It can compel, punish, or repress, but no society can remain organized indefinitely around fear alone. To endure, power must be perceived as legitimate. Its stability depends on a significant share of the population regarding its authority as valid, accepting its decisions as deserved obedience, and even defending them when those decisions cause harm.

From this need arises a recurring phenomenon: the tendency to establish a higher moral foundation. Kings, emperors, parties, revolutionary leaders, and regimes of every kind have sought to present themselves as expressions of some unquestionable cause.

At different times, that cause has been divine will, the nation, race, social class, progress, history, or popular will. The symbols and explanations change, but the function remains the same: turning obedience into a moral duty.

The religion of the State does not consist in believing that rulers are wise or virtuous. It is a partial suspension of critical judgment that turns mistakes into exceptions, privileges into necessities, and failures into reasons to expand power even further.

Like every religion, it has its dogmas. We are taught that without the State, chaos, violence, and social disintegration would prevail. The possibility that many of those functions could be sustained through voluntary cooperation is rarely examined seriously.

Every creed distinguishes between acceptable and unacceptable dissent. Tax rates, ministry budgets, and the conduct of officials are all part of ordinary debate. What provokes a reaction is questioning whether certain functions are necessary at all. While disagreements of the first kind are generally regarded as legitimate, those of the second are often seen as a threat to the established order. At that point, controversy leaves the realm of evidence and enters the realm of faith.

Human cooperation did not begin with modern States. There were already families, communities, traditions, social norms, trade, systems of exchange, mechanisms for settling disputes, many forms of spontaneous organization, kingdoms, cities, and confederations.

Yet this religion often reverses that relationship and presents society as a creation of political power. The historical sequence is turned upside down.

This inversion matters because it changes the starting point. If society is conceived as the product of the State, any reduction of state powers seems to threaten the social order. If we recognize that cooperation, exchange, and numerous institutions preceded the State and extend beyond it, the State returns to a less extraordinary position: it ceases to appear as society's creator and becomes one organization within it.

When tolerance becomes habitual, an almost inevitable consequence emerges: a new nobility. Not one defined by inheritance, but by connections. The existence of a central authority introduces a permanent hierarchy. There will always be those who decide and those who must adapt. The names change with the times, but the basic structure remains. Periodically electing rulers does not alter that reality. Many of those who wield power are never directly elected and may retain their influence for decades.

Gradually, those who exercise power cease to be seen as administrators and begin to be associated with the general interest. Their decisions are presented as acts in the public interest even when driven by incentives similar to those found in any other human organization. The institution no longer appears to be an instrument and begins to be confused with what it is supposedly meant to serve.

Equating the State with society serves another purpose: it makes the distinction between those who decide and those who must obey less visible. If authority is presented as an expression of everyone, an imposed decision can be perceived as a collective decision even by someone who never chose it.

That is why the phrase "we are all the State" is so powerful. It blurs the difference between those who decide and those who must accept the decision.

Everyone may be part of society, yet not everyone drafts a law, grants a license, sets a tax, manages a budget, or imposes a penalty. The rhetorical identification of State and society conceals that separation behind an inclusive formula, as though being subject to the same authority were equivalent to exercising it collectively.

This matters because the limits of power begin here. As long as the State is perceived as a morally exceptional institution, any attempt to limit it will encounter enormous resistance. Not

necessarily for lack of evidence, but because it means challenging deeply rooted beliefs.

There is nothing extraordinary about the State having supporters. Every elite has always had defenders, beneficiaries, and people convinced of the legitimacy of the existing order, including people systematically harmed by it. What is troubling is that too many people have stopped examining it as a human organization subject to the same errors, limitations, and biases as any other.

The mere existence of coercion settles nothing. Everything depends on the criteria used to determine when it may be tolerated and when it may not.

Legitimacy or Tolerance

Political philosophy often asks whether the State possesses moral authority and, from there, what it may do. This starting point treats the institution as a single whole. If it is granted legitimacy, its powers tend to inherit that legitimacy; if it is rejected, all its powers are called into question together.

Tolerance offers a different path. Each function is examined separately and must sustain its own exception. Justifying one power grants nothing to the others.

An exception does not erase the moral objection that gave rise to the analysis. Even when coercion reaches the threshold of tolerability, it remains an imposition on someone who would have preferred to act otherwise. The criterion developed here does not turn that coercion into a moral good; it determines only when it may exceptionally be admitted.

This shift moves the analysis away from the institution and toward what it seeks to impose. Legitimacy attributes quality to power; tolerance demands reasons for each concrete use of that power. Defense, justice, education, healthcare, and money thus

cease to be parts of a single package and become separate functions.

Tolerance avoids fixing the outcome in advance. Granting the State general authority tilts every inquiry in its favor; ruling out all possible coercion leads to the opposite extreme. Starting from liberty allows exceptions to be admitted without presuming them.

The analysis must therefore focus on each specific function. Broad categories group different activities under a single label, allowing the justification of one to extend to others without examining them separately. It is therefore essential to define the scope of each function precisely.

Here we reach the starting point of the criterion to come. A voluntary relationship requires acceptance; power can proceed despite refusal. That capacity changes who must justify their position. The burden of proof belongs to power.

We still need to determine what must be proved and under what conditions the evidence may be considered sufficient. First, we must examine the moral foundations of authority and the limits faced by any institution that seeks to replace voluntary cooperation. The book's criterion will emerge from that examination.

Chapter Conclusion

Tolerance describes an exceptional concession. Admitting it requires a reason sufficient to justify imposing a decision even when the person subject to it would prefer to act otherwise.

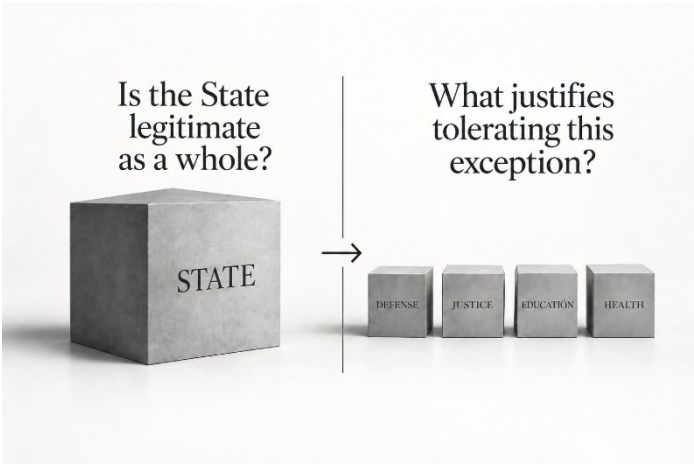
Democracy determines who governs but leaves open the extent of their powers. Society precedes and extends beyond the State, and the age of an institution explains its persistence without providing sufficient justification for it.

A power created under specific circumstances becomes part of the everyday order until its existence seems to require less explanation than its removal.

Each function must be examined separately. The task is not to decide whether the State is legitimate. It is to determine what would have to be true for an exception to be tolerated.

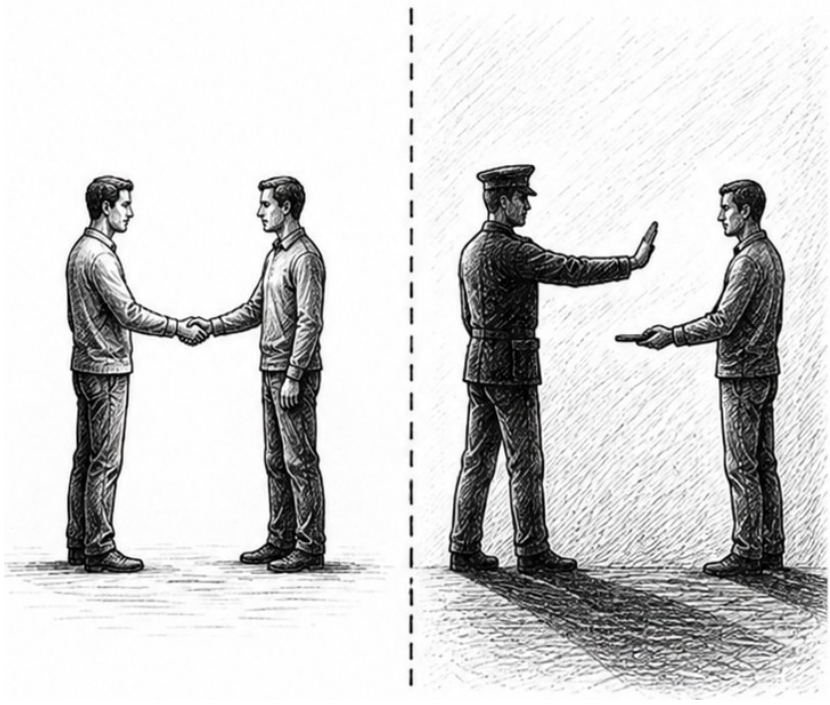
That starting point also establishes who must justify departing from the rule. Liberty remains the rule; whoever seeks to depart from it assumes the burden of justifying the exception. The burden of proof belongs to power.

The next chapter examines whether any moral foundation can alter that starting point.



2

The Moral Problem



THE STATE CHANGES HOW WE PERCEIVE certain acts. Conduct we would regard as abusive if committed by a private individual is often accepted far more readily when carried out by an authority.

The usual explanation is to attribute to the State a special nature, unlike that of any other human organization. It is made up of people making decisions about others: officials, legislators, judges, police officers, and bureaucrats. The existence of an institutional structure does not, by itself, change the moral judgment of those decisions. Renaming the actor does not make an act different. It merely changes how we tend to perceive it.

Beyond the Social Contract

If coercion does not acquire a different nature simply because it is exercised by the State, we must examine the foundations on which its authority is commonly based. At this point, the most popular defense in political philosophy usually appears: the social contract. The expression has enormous rhetorical power because it evokes an agreement among equals. On closer inspection, the analogy is much weaker than it seems.

The moral force of a contract comes from the acceptance of those who participate in it. Membership in a political community does not arise from a free decision. The obligation begins at birth, its terms change constantly, and escaping it usually entails prohibitive costs. Leaving does not eliminate the obligation. It merely transfers it to another jurisdiction.

This does not mean that authority cannot arise voluntarily. Imagine that a group of people unanimously decides to create a State. Everyone accepts its rules, agrees to finance it, and recognizes the powers conferred upon it.

Children born later, once they reach adulthood, new residents, and anyone else who wishes to join can be made subject to that structure only through their own acceptance.

Creating the institution is morally permissible. An institution does not acquire legitimacy merely by existing. Freedom of association would be meaningless without freedom to disassociate. Those who decide to join retain the right to leave.

The nature of an organization's objectives does not, by itself, determine the legitimacy of the association. A workers' cooperative, a religious community, a communist commune based on collective property, and a private company may differ in almost every goal. One can regard any of them as mistaken, inefficient, or profoundly undesirable while still recognizing the right of others to organize under those rules.

Now imagine a community whose members decide to delegate every decision to a single person or a small group. Many observers would describe that structure as a dictatorship. The concentration of power does not alter that description. A leader may act arbitrarily, unjustly, or even contemptibly without changing the voluntary nature of the association. What remains unchanged is the ability to leave it and cease to be subject to its decisions. The moral validity of an association does not imply the moral validity of everything done within it.

The limit is reached when obligations are extended to those who did not consent. Not everyone agrees with that conclusion.

Rawls connects the legitimacy of political power to principles that free and equal citizens could consider reasonable. He does not require actual individual consent: a political structure may be legitimate if its rules can be justified reciprocally among citizens conceived to be free and equal. Raz takes another route. He recognizes moral authority when it allows those subjects to act better in accordance with reasons that already apply to them. Murphy and

Nagel challenge even the starting point from which taxation is commonly criticized: property rights would not exist independently of the legal order, so not every tax can be treated as the appropriate action of something previously defined outside the State.

These are stronger responses than a simple appeal to the social contract, but they relocate the problem rather than eliminate it. Rawls still leaves unexplained why what hypothetically reasonable citizens might accept gives real people the moral right to impose it on dissenters. Raz leaves unexplained why helping someone act on reasons they already have also confers the power to compel them. Murphy and Nagel show that property depends partly on legal institutions, but it does not follow which institutions should exist or what burdens they may impose. The common good, the general will, the legal order, and collective representation offer other foundations. We still need an explanation of where the moral right to impose obligations on others comes from.

It is striking that theories especially concerned with power differences among individuals devote less attention to the greatest disparity of all: the one between an individual and the State. No other organization concentrates on comparable power.

The burden of proof is often reversed. Certain functions are regarded as governmental by default, and voluntary arrangements are admitted only when someone demonstrates that they are possible. The standard should be the opposite. The necessity of coercion is not presumed. It must be demonstrated.

Friedman identified another common error: comparing real markets with imaginary governments. The relevant comparison is between coordination mechanisms and power structures as they exist in practice, both subject to error, imperfect incentives, and incomplete information.

Every exchange rest on the same elementary principle: people cooperate because they believe doing so will leave them better off than the available alternatives.

Companies can commit abuse and individuals can make poor decisions. There are many forms of conduct regarded as degrading, irresponsible, or outright immoral. Denying this would be as naive as denying that the same behaviors also occur in politics, bureaucracy, religious organizations, and every other institution created by human beings.

Everything discussed so far rests on a simple idea: everyone retains control over their own decisions and bears the consequences.

Consent does not exhaust the answers. Other ideas also seek to explain why certain powers might be permissible.

The Usual Defenses

Living in society means coexisting with other people, cooperating, exchanging goods, forming families, joining associations, and pursuing shared projects. From this, a much broader conclusion is often drawn that certain burdens may be imposed simply because they are part of social coexistence. "It's the price we pay for living in society" is a familiar phrase that sums up this idea.

Society is the sum of human relationships. The State is a specific institution within it. The existence of one does not establish that every action by the other is necessary or permissible.

Even if we accepted that every form of social organization entails costs, the conclusion still would not follow. Every institution generates costs. Every collective decision involves sacrifices. One could also claim that corruption, censorship, or discrimination are prices associated with living together. It remains to be shown that those costs are unavoidable, that they produce sufficient benefits, and that less burdensome alternatives do not exist.

The expression can be used to justify virtually anything. Taxes are the price of living in society. Mass surveillance is the price of living in society. Compulsory military service is the price of living in society. Countless other measures could be added for the same reasoning. The phrase offers no criterion for distinguishing one from another.

Appealing to coexistence is not the only defense. Another widespread idea holds that the State exists to correct inequalities.

Some people are born with greater talent, intelligence, beauty, or ability to generate wealth and create value for others. There are also enormous differences in the outcomes people achieve over the course of their lives.

I am hopeless at soccer. Lionel Messi plays at a level I cannot even imagine. Millions enjoy watching him play, his teammates have better chances of winning, clubs earn more revenue, and the player himself receives an extraordinary reward.

A particularly attractive woman may have access to opportunities denied to others. A brilliant scientist may make discoveries beyond the reach of most people. An exceptional entrepreneur may create value on a scale almost no one else can match.

These examples show that not every inequality requires correction or is undesirable. We still need to explain which characteristics make some inequalities a cause for concern while others are accepted.

Another very common idea is that people do not always know what is best for them. From this arises the claim that certain behaviors should be supervised, corrected, or restricted for the benefit of the people engaging in them.

Yet the very same people considered responsible enough to decide who will wield political power are portrayed as incapable of managing their retirement, choosing what to eat, assuming

particular risks, entering into certain agreements, or freely disposing of a significant share of the resources they earn through their work.

Someone will point out that parents compel their children to study, eat properly, or receive medical care. Such guardianship is temporary and applies to someone who has not yet developed the full capacity to function independently. Moreover, it is exercised with direct knowledge of that child's particular circumstances and with responsibility for the consequences of one's own mistakes.

A ruler occupies no comparable position. Rulers make decisions about millions of people they do not know, using broad, abstract categories. The analogy therefore leaves one unavoidable question: if the State play the role of the parent, who plays the role of the child?

We are frequently told that the people are sovereign, that the legitimacy of rulers comes from popular will, and that voting is the highest expression of political self-determination. Once an election is over, we are reminded that the result must be respected precisely because the citizens made the decision.

There is a further defense that appeals to outcomes. Certain state structures have prevented wars, contained internal conflicts, built stable institutions, or protected entire societies from grave threats. Outcomes matter. It is also possible for interventions to produce considerable benefits.

That is not enough. If outcomes were the only criterion, any expansion of power could be portrayed as necessary to avert a risk, secure a benefit, or achieve some desirable goal.

The Difficult Question

What if this entire moral debate is simply subjective? What if opposition to coercion is nothing more than a personal preference?

If morality were entirely relative, political debate would cease to rest on shared principles and become a clash among incompatible preferences. None of that changes an elementary fact: some people continue to impose decisions on others.

Where does that right come from? Whoever claims it exists must explain its origin. Simply assuming it is not enough.

We can take the argument to the extreme and imagine a State designed for a single person. A ruler who perfectly understands that person's circumstances, preferences, and needs. Nothing essential changes. Better information may improve the quality of a decision. It does not create a moral right to impose it.

Weber described the State as the institution that claims a monopoly on the legitimate use of violence within a given territory. Oppenheimer distinguished the economic method, based on production and voluntary exchange, from the political method, based on the coercive appropriation of other people's labor.

Both descriptions help identify an even more fundamental characteristic. What distinguishes the State from a voluntary association is not merely the territory over which it operates or the force it can exercise, but the non-revocable nature of its jurisdiction for those who remain within it. An association allows its members to withdraw and cease to be subject to its decisions. The State, by contrast, claims authority regardless of individual consent: someone who rejects that authority cannot disassociate from it while remaining peacefully in the territory. If that were possible, its jurisdiction would cease to be governmental and become voluntary.

Rothbard took this criticism to its ultimate consequences. In his view, state legitimacy arises not from a moral principle that makes coercion just, but from a narrative that normalizes it. The name changes with the times—divine mandate, tradition, homeland, popular will, or social contract—but the structure remains.

Anarcho-capitalism possesses an intellectual consistency that is hard to ignore. It eliminates every exception to the initiation of force. Defense against aggression remains permissible, but it does not create a general authorization to impose obligations on others.

Eliminating every exception requires an explanation of what should be done when the complete absence of coercion might lead to morally unacceptable consequences.

The statist starts at the opposite extreme. The right to impose obligations is often assumed before its existence has been explained. Even if we grant that right, we must still determine its limits. Where does it end? Why are some powers permissible and others not? Reasons for expanding power are inexhaustible. One need only observe the evolution of modern States.

The most difficult challenge comes from elsewhere. It does not come from the doctrinaire statist, who responds with predictable slogans, or from the libertarian who rejects every exception. It comes from someone who accepts much of the diagnosis but doubts that it can be acted upon.

"Maybe you're right," they say. "Maybe coercion isn't morally self-evident. Maybe many of the functions we now regard as indispensable could be carried out differently. But it just can't be done."

Morality ceases to be the focus. Political constraints, institutional inertia, vested interests, transition costs, and practical limitations take its place.

For Mill, harm to others marks the limit of coercion. As long as conduct affects only the person engaging in it, the State should not intervene to impose a particular conception of virtue, prudence, or well-being. Paternalism loses much of its foundation, and moral differences cease to be sufficient grounds for imposing obligations by force.

Everything then depends on what we mean by harm. Inequality may be presented as harm. Offense may be, too. Certain forms

of conduct may be described as harmful to society even when there is no identifiable victim. This concept thus begins to expand.

Activities originally regarded as private matters become subject to regulation once they are incorporated into an ever-broader concept of harm. The boundary remains, but it shifts whenever the definition changes.

For Rothbard, force may be used only to respond to aggression against a person or their property. The non-aggression principle reduces exceptions to a minimum. Yet extraordinary circumstances remain in which the complete absence of coercion might also lead to morally grave consequences.

Nozick accepts a State restricted to a very small number of functions. This is not the same as accepting unlimited power. The boundary remains disputed.

Mill places the boundary at harm. Rothbard virtually eliminates exceptions. Nozick accepts a very small number. All three draw the boundary in different places.

We still need to determine when coercion may be tolerated without the exception ultimately becoming the rule.

Before proceeding, one step remains. Even if we accept that certain exceptions may be tolerated, coercion makes sense only if the State produced the outcomes commonly attributed to it. That is where the next chapter begins.

Chapter Conclusion

The State does not have a moral nature different from that of any other human organization. It consists of people making decisions about others. The existence of laws, offices, and procedures does not by itself change the nature of those decisions.

The idea of the social contract does not resolve this tension. A contract derives its force from the acceptance of its participants, whereas membership in a political community begins without a

free decision, its terms change without individual consent, and leaving does not allow a person to escape those obligations but merely subjects them to another jurisdiction.

Authority may arise voluntarily, even in forms others consider mistaken or undesirable. The boundary is crossed when obligations are extended beyond those who consented. What distinguishes the State from a voluntary association is that its jurisdiction cannot be revoked individually by someone who remains in the territory. Freedom of association loses its meaning if it does not also include the possibility of leaving.

Rawls, Raz, Murphy and Nagel offer more elaborate foundations for political authority. Their answers differ, but the same requirement remains unmet: to explain how an institutional justification, authority over reasons, or a legal system of property acquires the moral power to impose obligations on others.

The usual defenses do not resolve the problem either. Living in society does not establish that every burden is necessary. Inequality is not always an injustice. Guardianship over adults cannot be equated with parental responsibility for children. Nor does securing a benefit automatically make the means used to obtain it permissible.

Moral subjectivity does not erase the central fact: some people impose decisions on others. Whoever claims the right to do so must explain where it comes from. Better information, noble intentions, and favorable outcomes may improve a decision, but they do not create a moral right to impose it.

Mill, Rothbard, and Nozick draw the boundary in different places. Mill locates it in harm to others. Rothbard restricts coercion almost entirely to responding to aggression. Nozick admits a limited set of state functions. The difficulty remains: determining where the exception ends and what criterion distinguishes it from the rule.

The moral problem is thus established. Coercion cannot be the default assumption, yet eliminating every exception may also produce unacceptable consequences. We must still establish when it can be tolerated. Before answering, we need to examine whether the State can produce the benefits commonly attributed to its interventions.

3

The Efficiency Problem



SUPPOSE, FOR A MOMENT, that the moral debate has already been settled. Assume that the State has honest officials, competent experts, genuinely public objectives, and sufficient resources to assemble the finest specialists in every field. Even then, can it allocate resources better than the market?

Every public action requires making decisions about an extraordinarily complex reality. Someone must decide what to produce, where to invest, what to regulate, which priorities to address, and which to postpone. Doing so requires knowledge of constantly changing circumstances, comparison of alternative uses of scarce resources, and appropriate incentives to correct mistakes.

Under these assumptions, intuition seems to favor the State. If it has the resources, the experts, and the power to intervene, it might seem reasonable to expect efficient allocation. The idea deserves closer examination.

The first aspect concerns knowledge. Relevant information is not concentrated in one place, and some of it does not yet exist. The second concerns comparing the countless possible uses of resources that are always scarce. The third depends on incentives that reward success and correct errors.

This is not a problem limited to central planning. Whenever an authority replaces the market, even partially, it faces the same limits. The difference is one of degree, not of kind.

Information

Read's example, later popularized by Friedman, became one of the most famous illustrations of spontaneous cooperation.

No single person knows how to make a pencil from beginning to end. Yet millions of pencils are produced every day.

The same thing happens in any modern city. Every morning, bakeries, supermarkets, pharmacies, restaurants, repair shops, and thousands of other businesses open their doors. Suppliers arrive on time, shelves are restored, and businesses continually adapt their offerings to their customers' needs. Each participant knows only a small part of the process yet takes part in an immense network of cooperation.

Every person possesses information others do not have. A shopkeeper knows customers' preferences, a producer notices changes in costs before anyone else, a mechanic understands the condition of the machines, and a doctor knows the needs of patients. That knowledge remains dispersed and is constantly changing.

Such information cannot be captured completely in a report or incorporated fully into a database. It consists of practical experience, intuitions, personal relationships, and particular circumstances known only to those who act within that context every day.

Coordinating this immense body of knowledge is no less challenging today than it was when Hayek formulated his argument. Quite the opposite. Today's economy contains many more goods and services, longer production chains, far greater specialization, and a constantly growing volume of information. If relevant knowledge is more dispersed than ever, the challenge of coordinating it is greater as well.

Relevant knowledge is not gathered in a single place waiting to be consulted. Every individual confronts circumstances unknown to others. Consequently, any centralized decision will inevitably be made from a partial view of reality.

Moreover, much of that information loses its value almost immediately. Tastes change, new opportunities appear, suppliers

disappear, costs fluctuate, technologies emerge, and people's priorities shift. Reality changes faster than any organization can record it.

No individual needs to know all that information. It is enough to respond to prices, which summarize millions of individual decisions. An increase in the price of an input signals that it has become relatively scarcer, even if no one knows the full reason. Each participant adapts their behavior using signals that condense knowledge impossible to assemble explicitly.

Dispersed knowledge is only part of the story. The most valuable information for making decisions does not yet exist.

No one knew that millions of people would carry smartphones in their pockets before someone imagined the iPhone. No one knew the demand for peer-to-peer accommodation platforms before Airbnb, or for a transportation service like Uber before it emerged. These preferences were not waiting to be discovered in a survey. They arose when someone offered an alternative that had not existed before.

For such information to emerge, someone must try something new. Entrepreneurs launch products, companies test business models, and consumers change their habits. Some ventures fail. Others transform entire industries.

The entrepreneur, in Kirzner's sense, performs precisely this function: discovering opportunities that others have not yet noticed.

Competition allows thousands of people to try different approaches simultaneously. Some ideas fail. Others succeed. This is how opportunities emerge that no one could have known about in advance.

A planner can decide only with the information available at the moment of action. Information that does not yet exist cannot be used. To obtain it, the planner would have to allow exactly what

planning seeks to replace: millions of people experimenting at the same time.

What does not yet exist cannot be planned. It can only be discovered. The market does not work because someone knows everything. It works because it harnesses dispersed knowledge that no authority could concentrate.

Economic Calculation

Building a hospital means forgoing the construction of a school. Using steel for bridges makes it unavailable for housing. Hiring more doctors leaves fewer resources to employ nurses or purchase equipment. The true cost of a decision is what can no longer be done.

The completed project is visible; hidden are the projects that never came to be because the same materials, workers, engineers, and capital were used elsewhere. What is seen and what is not seen, as Bastiat would remind us.

Suppose two cities both demand a hospital. Both present reasonable arguments and want to improve healthcare services. Which should receive it?

The choice is rarely limited to two. Hundreds of cities have similar needs, and thousands of projects—schools, highways, ports, power grids, and sanitation systems—are scattered across the country, all competing for the same resources. That decision is only the beginning: where to locate the hospital, what capacity it should have, which services it should offer, how much equipment to install, how many people to employ, and what operating budget to allocate. Each answer multiplies the alternatives.

The same is true when choosing the route of a highway. Any route would favor some communities over others, even if it resulted from private investment. The existence of winners and losers does not distinguish a market decision from a political one.

The distinction lies in the process. In a market, each investment responds to prices, demand, risks, and voluntarily contributed resources, without preventing others from testing different routes. When the State decides, it concentrates resources on a single route and distributes the consequences among people who did not participate in the choice.

This comparison becomes far more difficult when prices generated through voluntary exchange disappear. Without them, an essential reference point for comparing alternative uses and estimating the cost of devoting a resource to one project rather than another is lost.

Here we encounter Mises's main criticism of any attempt to plan an economy. It is also central to his critique of socialism. Its scope, however, is not limited to that system. Wherever an authority replaces a market process, it loses part of the information that the process generates to guide resource allocation.

Incentives

Nobody gets everything right. Mistakes are part of every activity. What matters is not preventing all errors but having a mechanism that discovers and corrects them. This is where markets and planning take different paths.

In a market, every decision is tested. Companies, investors, and entrepreneurs risk their own capital to offer goods and services people value. When they succeed, they earn profits. When they are wrong, they bear losses.

Losses do more than correct mistakes. They also select those who allocate resources more effectively. Those who fail persistently eventually make way for others or redirect their efforts toward activities in which they can create more value.

Competition does not guarantee that the best ideas always survive or that success and failure depend solely on merit.

Circumstances matter too. What it does provide is a continuous process of testing, correction, and selection that is difficult to replicate through centralized decisions.

Cases such as Enron, Lehman Brothers, Pan Am, and countless companies once thought invincible show that failure is not an anomaly but part of the mechanism. Error does not disappear, but it becomes visible and creates incentives for correction.

Politics works differently. Those responsible for allocating public resources do not face equivalent losses when their decisions fail. Their personal wealth is not at stake and, often, neither are their positions. An inefficient program may receive more funding. Public policy may remain in force for decades despite poor results. Costs are spread among millions of taxpayers, while those who make the decisions rarely face comparable consequences.

Friedman summarized this idea in his analysis of different ways of spending money: nobody manages other people's money with the same care as their own. When those resources are also spent on behalf of third parties, the incentives to use them efficiently weaken further.

The Planner's Paradox

The limits examined so far do not operate independently. They accumulate.

The planner needs access both to knowledge that remains dispersed and to knowledge that does not yet exist because it will emerge only through experimentation. The planner must compare countless alternative uses of scarce resources and, in addition, correct mistakes without the same incentives that discipline market decisions.

Faced with these difficulties, the usual response is to expand planning. If one is not expert enough, ten are brought in. If ten

prove insufficient, new agencies, more committees, more advisers, and more layers of coordination are created.

Each additional specialist contributes another fragment of knowledge. But the decisive knowledge remains outside the group. There will always be people who know more about the circumstances of their business, neighborhood, profession, or customers. Meanwhile, innovations emerge, preferences change, costs fluctuate, and new opportunities arise.

The only way to eliminate this difference would be to include everyone in the decision-making process. But the knowledge being sought arises from action. The more time people devote to deliberation, the less time they spend creating what the planners wish to know. And even that would not suffice. Reality changes continuously. While some debate, others innovate. By the time a decision arrives, the world has already changed.

This is the planner's paradox: the more the planner tries to encompass reality, the more the planner depends on the very process planning seeks to replace.

The Cold War can create a misleading impression. The Soviet Union was not competing against a market, but against another State that also concentrated resources through political decisions. Missiles, submarines, nuclear weapons, and space programs pursued strategic goals established from above. In that sphere, the distance between the two systems narrowed.

The United States financed its military effort on the foundation of a decentralized economy that continued creating wealth, discovering technologies, and correcting mistakes through millions of independent decisions. The Soviet Union had to sustain its effort through a planned structure that sacrificed consumption, housing, and everyday goods to meet the objectives set by those in power.

It could produce tanks, satellites, and missiles in extraordinary quantities without demonstrating that it allocated resources better. It demonstrated something else: a State can concentrate resources with enormous effectiveness when it is willing to impose the costs on the rest of society. Its superpower status was, above all, a success in mobilization.

The market's superiority in allocating resources arises from capacities no authority can reproduce completely: harnessing dispersed knowledge, discovering information that does not yet exist, and creating incentives that reward success and penalize mistakes.

If these limits exist, the debate is no longer about how much the State should intervene. It becomes a different question: when is it tolerable to replace the market?

Chapter Conclusion

Even under the most favorable assumptions—honest officials, competent experts, and genuinely public objectives—the State faces limits that do not depend on its intentions.

The first is information. Knowledge required for decision-making remains dispersed, changes continually, and partly does not even exist until entrepreneurs and consumers try new alternatives.

The second is economic calculation. Resources devoted to one end cease to be available for all the others. Prices generated through exchange allow us to compare those uses and reveal their opportunity costs. When an authority replaces that process, it loses part of the mechanism that makes such comparisons possible.

The third is incentives. The market does not prevent mistakes but subjects them to profits and losses. Those who allocate their resources poorly face consequences. In politics, costs may be spread among millions while decision-makers remain relatively insulated from them.

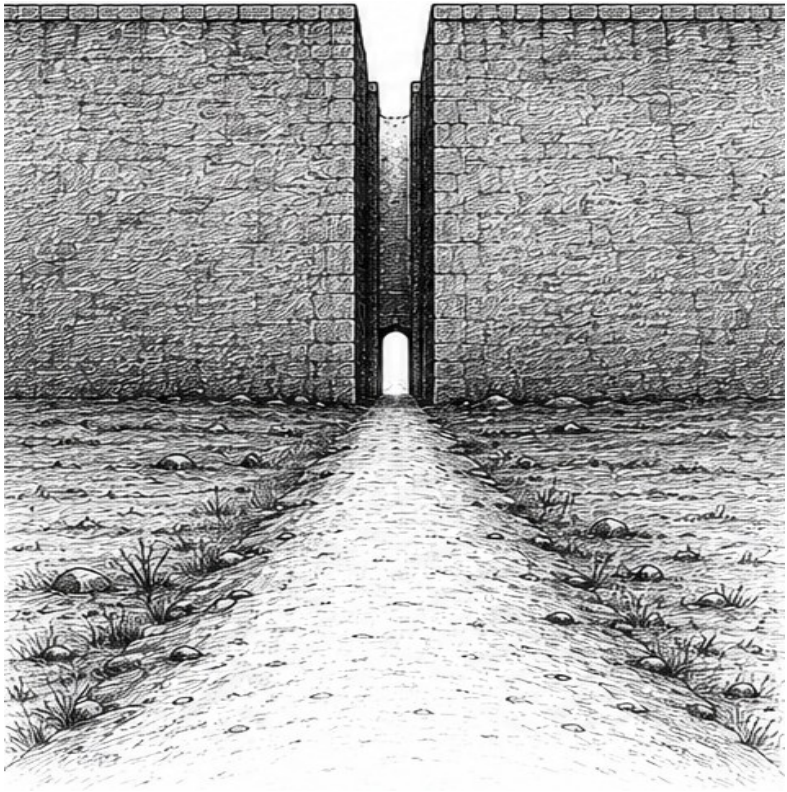
These limits lead to the planner's paradox. To overcome them, the authority would need more information, better comparisons, and more effective mechanisms of correction. But to obtain them, it would have to allow millions of people to experiment, exchange, and respond to prices, profits, and losses. It would have to recreate precisely the process it seeks to replace.

The advantage of voluntary exchange in resource allocation does not come from infallibility. Millions of people use information no authority can gather, discover possibilities that did not previously exist, compare alternative uses through prices, and face the consequences of their own mistakes directly.

When an authority replaces that decentralized order, it inevitably gives up some of those capacities. Determining when that cost may be tolerated is the next step.

4

The Criterion



ONE QUESTION REMAINS. Coercion poses a moral problem and has not demonstrated any general superiority in terms of efficiency. We must now determine whether exceptional circumstances exist under which it may be tolerable.

Answering that question requires an objective standard, independent of personal preferences and applicable in the same way to every case. Otherwise, each exception would depend solely on the subjective judgment of whoever proposes it, which is precisely what happens today.

Presumption of Liberty

One of the most deeply ingrained reflexes of contemporary political thought is to turn anything that appears unfair, unpleasant, or different from what was expected into a supposed market failure. Once that diagnosis has been made, intervention appears to be the natural answer. From Pigou to Samuelson, voluntary exchange is placed in the defendant's seat and the State in the judge's chair. Voluntary cooperation is judged by its actual results, including its errors and shortcomings. The State, by contrast, is often judged by what it intends to accomplish. Market problems are usually visible and immediate; the costs and errors of state intervention may emerge later, remain dispersed, or be attributed to other causes. Harold Demsetz called this asymmetry the "Nirvana approach": comparing real institutions, with all their imperfections, to idealized alternatives.

If an institution must be intervened in and replaced because it generates externalities and undesirable effects, then, following David Friedman, the State would be the first candidate.

Whenever we demand more intervention in response to a private-sector situation we find unacceptable, we should apply the same logic when the problem comes from the State itself and

reduce its scope. The symmetry exposes the absurdity: we cannot accept the first inference without also accepting the second.

Principle of Reversal of the Burden of Proof

The existence of a problem does not demonstrate that state intervention is preferable. Identifying the problem is one thing; proving that the proposed response is superior is another.

Pollution in a river is harm that must be addressed. Authorities may misidentify its causes and may also choose the wrong response. Even with an accurate diagnosis, nothing guarantees that a regulation, tax, prohibition, or agency created to address it will improve the situation.

The existence of a disease does not make every surgical procedure a solution. Before intervening, it must be shown that the procedure is likely to improve the patient's condition.

Every corrective measure assumes that the State will improve the situation compared with the available alternatives. That superiority must be demonstrated, not presumed.

We can call this the Principle of Reversal of the Burden of Proof: the existence of a problem places the burden on whoever proposes coercion, not on whoever seeks to preserve their liberty.

Even if we concede that market failures exist, the burden does not diminish. The more serious the problem and the more intrusive the proposed intervention is, the stronger the evidence must be.

This is the Presumption of Liberty that guides this book: voluntary cooperation is the general rule; departing from it requires sufficient proof. Individuals need not give reasons for keeping their liberty. The burden falls on whoever seeks to restrict it.

This presumption does not assume that individual decisions are infallible or that every form of voluntary exchange succeeds. It

establishes a starting point: failure, imperfection, or disagreement does not by itself turn coercion into a tolerable response.

The conceptual shift is simple: the scrutiny traditionally invoked to put the market on trial is now applied to the State itself.

It is no longer enough to say, "The market failed." One must demonstrate that the State will do better.

Voluntary Provision

State intervention should not be compared with the complete absence of a solution, but with what people can organize without resorting to coercion. This set of possibilities is called voluntary provision.

It encompasses stable ways of producing, financing, or offering goods and services through free agreements. It includes markets, companies, and contracts, but also cooperatives, mutual organizations, community associations, charities, and networks of mutual aid. The failure of one organization does not demonstrate that this entire set of possibilities has been exhausted.

Schmidtz warned that *free riders* are not sufficient to justify coercion, that voluntary arrangements can solve coordination problems, and that a moral obligation to contribute does not imply the authority to enforce it by force. Cowen noted that the public nature of a good depends on institutional, technological, and contractual conditions. Klosko argued that certain goods may require regulated cooperation to be provided.

The theorem builds on these contributions and raises the standard: coercion may be considered only if a persistent collapse of voluntary provision is established, that is, if voluntary arrangements cannot sustain the function reliably.

The Minimal Tolerance Theorem

We will establish a criterion for determining when a precisely defined function falls under state responsibility as an exception to the Presumption of Liberty. The examination concerns the function to be guaranteed, not the entire sector or every activity used to carry it out. Setting this threshold requires distinguishing phenomena often treated as equivalent even though they are not.

The Free-Rider Problem

Those who do not contribute may still receive the benefit. When excluding them is extremely difficult or impossible, each person has an incentive to let others bear the cost. If this behavior becomes widespread, funding may weaken until it disappears.

The existence of free riders does not, by itself, establish the collapse of voluntary provision. For a function to pass the Minimal Tolerance Theorem, three conditions must be met together.

1. Effective Non-Excludability

It must be impracticable to prevent noncontributors from receiving the benefit. It is not enough for exclusion to be difficult: it must be unfeasible or so costly that access cannot be reliably linked to payment.

A movie theater can refuse admission to someone who has not bought a ticket. A public alarm, by contrast, benefits everyone within its range, whether they finance it or not.

If access can be made conditional on prices, contracts, memberships, or technological solutions, this condition is not met.

2. Relevant Non-Rivalry

One person's use of the good or service must not significantly reduce what remains available to others.

An occupied parking space is no longer available to another driver. A digital file, by contrast, can be used by many people without one person's use diminishing what others receive.

If each use consumes, degrades, or materially limits what is available to others, this condition is not met.

3. Collapse of Voluntary Provision

This is the heart of the theorem. The first two conditions identify the incentive. We must still establish whether that incentive prevents the function from being sustained through voluntary cooperation.

This condition does not require every private activity related to the function under examination to disappear. Partial providers may survive even while stable provision of the general function remains unviable.

Security illustrates the distinction clearly. There may be private police services for a gated community or a particular business. Those services cover paying customers but do not sustain general protection. If enough people expect others to pay and contributions remain insufficient over time, this condition is met.

The specific cause may vary. In some cases, funding fails; in others, the necessary coordination or participation fails. Several factors may also combine. The criterion accommodates these different forms.

A failed campaign, a temporary interruption, partial coverage, or the simple absence of a service is not enough. It must be established that, despite the existence of need, technical capacity, and freedom to provide the function, no combination of companies, associations, donations, community cooperation, or private agreements can sustain it over the period relevant to that function.

Technological limitations that no form of organization, including the State, could overcome do not count either. The failure

must also be attributable to the underlying incentive structure and threaten the function's continuity, rather than merely producing a quantity, quality, or coverage below what is preferred.

The criterion favors no form of voluntary provision; the failure of one does not rule out the others.

The Logical Formulation

The theorem can be expressed as follows:

$$\mathbf{T \rightarrow (NE \wedge NR \wedge CV)}$$

Where:

T: a specific coercive intervention intended to sustain or finance the function under examination may be tolerated;
NE: effective non-excludability is established;
NR: relevant non-rivalry is established;
CV: a persistent collapse of voluntary provision is demonstrated.

The formula establishes that all three conditions are necessary before coercion can be considered tolerable.

In this formulation, T represents a specific coercive intervention, not state responsibility for the function under examination.
The three conditions occupy the same logical level. Their analytical roles differ. NE and NR define the case; CV establishes whether voluntary cooperation has reached the limit required to continue.

The reverse implication does not hold:

$$\mathbf{(NE \wedge NR \wedge CV) \nRightarrow T}$$

When all three conditions are met, the function passes the theorem and responsibility for guaranteeing it falls to the State. That conclusion determines only who is answerable for the function. How it is produced and every specific intervention used to sustain it requires their own justification. A tax, an agency, a budget, an enforcement rule, a particular scale, or an additional extension of power must be evaluated separately.

The unit of examination is the function whose benefit is to be guaranteed. Its execution may be divided into multiple activities, but this disaggregation does not require reapplying the theorem to each activity. A separate examination is appropriate only when an autonomous function emerges, with a distinct benefit that can itself be evaluated in terms of exclusion, rivalry, and voluntary provision. The remaining activities belong to the question of how the function should be produced.

The Collapse Test

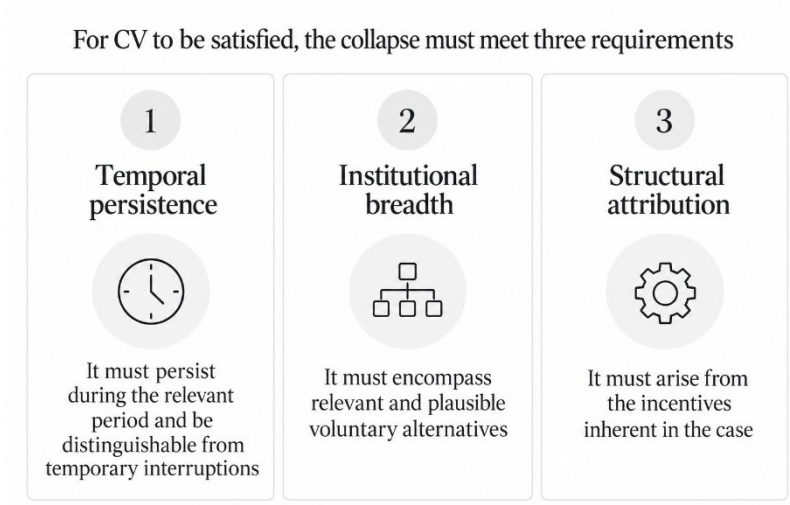
The third condition, persistent collapse of voluntary provision (CV), requires demonstrating that voluntary arrangements cease to be capable of sustaining the function reliably. Reduced coverage, differences in quality, or outcomes below what is desired belong to a different question as long as provision remains continuous. Three requirements must be met to establish collapse.

Temporal persistence. The inability to sustain the function must extend over the period relevant to its provision and must be distinguished from temporary interruptions, isolated crises, or normal stages of learning.

Institutional breadth. The examination must encompass the relevant, plausible voluntary alternatives for the function being analyzed. The adverse outcome of a company, campaign, contract, or

organizational form constitutes only part of the evidence if other relevant options remain.

Structural attribution. The collapse must be connected to the incentives inherent in the case. Regulations, legal monopolies, prohibitions, and privileges can change those incentives and impede the development of alternatives.



The Collapse Test organizes this final inquiry. Effective non-excludability (NE) and relevant non-rivalry (NR) describe characteristics of the function; the third condition shifts the analysis toward the ability of different forms of voluntary provision to sustain it over the relevant period.

Institutional Bootstrap

Structural attribution requires additional precautions. When the legal or regulatory framework protects one form of cooperation and makes the emergence of others difficult or impossible, their absence cannot be used as proof that voluntary provision has failed.

The capacities needed to provide a function develop gradually. They require time, capital, experience, and continuous learning. If

that process is interrupted for decades, potential alternatives never have a chance to mature.

The State may then use the effects of its own intervention as evidence that no other solution is viable. It would be enough to prevent alternative arrangements from developing and then invoke their absence or weakness to conclude that no other solution is viable.

The monopoly thus produces the very evidence with which it later seeks to prove its necessity. This can be described as a form of institutional *bootstrap*. The collapse required by the theorem cannot be inferred from the absence of alternatives created or maintained by the intervention itself.

The third condition requires that alternatives have a reasonable opportunity to develop. An authority that blocks them changes the evidence it subsequently seeks to use to justify its continued existence.

Why Free Riding Is Not Enough

Effective non-excludability (NE) and relevant non-rivalry (NR) explain the free-rider incentive: receiving the benefit of a service while leaving others to finance it. That incentive can exist even when voluntary provision remains stable. The classic economic characterization of public goods, developed from Samuelson's work, focuses on these two properties. The theorem adds a third condition: persistent collapse of voluntary provision (CV), which requires demonstrating that those incentives prevent the function from being sustained reliably.

In Steilacoom, United States, an annual fireworks display is financed entirely by contributions from individuals and businesses. Once fireworks are launched, excluding noncontributors is practically impossible, and one person's viewing does not reduce what others can enjoy. NE and NR are met, but CV is not: voluntary contributions sustain the display year after year.

Wikipedia offers another contrast. Technically, it could restrict access to its website and charge for content, although doing so would contradict the principle of open access on which the project was built. Today, millions of people consult its content without contributing financially, while donations and other contributions sustain its operation.

The State as Institutional Technology of Last Resort

The existence of a social need, a collective benefit, or a grave threat is not enough to open an exception.

The theorem does not turn the State into a moral, desirable, or generally efficient solution. When all three conditions are satisfied, the function passes the Minimal Tolerance Theorem and responsibility for guaranteeing it falls to the State. The State thus becomes the institutional technology of last resort for sustaining that function.

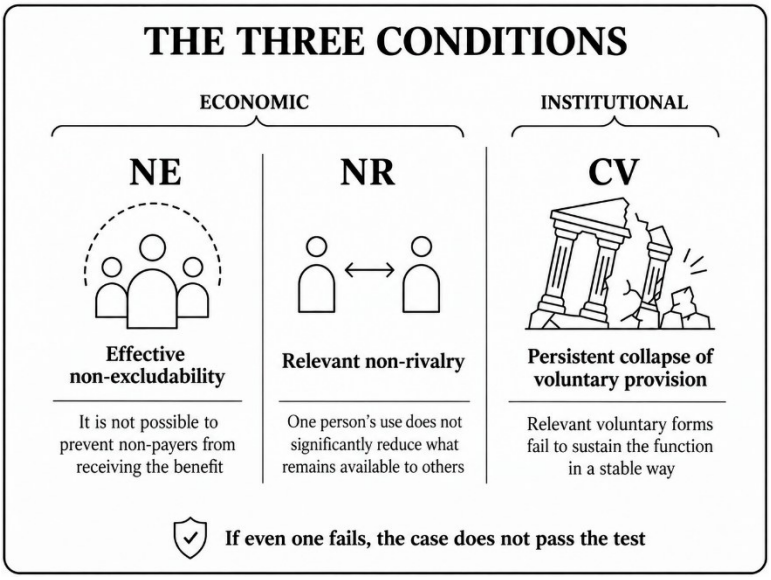
This status arises from the third condition. If a voluntary arrangement can sustain the function, the State remains outside it. The function passes the theorem only when that possibility has been sufficiently ruled out and the other conditions are met.

This tolerance is also tied to the circumstances that made it possible. A new technology, contractual arrangement, or form of cooperation capable of sustaining the function changes the result of the test.

The exception must be strictly confined to that function. It does not authorize additional powers, extend to similar cases, or turn a tolerable intervention into a general license to act. Its scope must be reduced to a minimum indispensable, and the harm it introduces must be smaller than that it seeks to prevent.

The burden of proof does not disappear once the measure has been adopted. The intervention must remain subject to the same test. Last resort, provisionally, and review therefore all follow from

the same requirement. The exception exists only while the conditions that are justified persist.



An Application: Tsunami

Consider a tsunami early-warning system intended to warn the population of a coastal area.

The test follows a sequence. First, effective non-excludability (NE) must be established. Once a public warning has been issued, excluding those who did not contribute to financing it from its benefits is extremely difficult. The first condition is met.

Next comes relevant non-rivalry (NR). One person's receipt of the warning does not reduce the protection available to others. The second condition is also met.

Only then do we examine persistent collapse of voluntary provision (CV). The incentive to leave the financing of a population-wide warning network to others can weaken the contributions needed to maintain sensors, communications, monitoring, and

operational capacity. But the existence of that incentive alone does not demonstrate collapse.

The Collapse Test requires three findings: temporal persistence, meaning that insufficient contributions prevent the system from being sustained reliably; institutional breadth, meaning that this inability extends to the relevant, plausible voluntary alternatives for maintaining a general warning system; and structural attribution, meaning that failure results from the incentive to benefit without contributing rather than external obstacles that prevented those alternatives from developing.

In this case, collapse threatens the very continuity of the system. The third condition is therefore satisfied, the function passes the theorem, and responsibility for guaranteeing it falls to the State.

This sequence will guide the testing chapter that follows. Each function will first be examined in terms of its economic characteristics and, where appropriate, the capacity of voluntary provision to sustain it reliably.

Scope and Limits

The theorem applies to state coercion used to sustain or finance a function whose provision is presented as necessary. It does not attempt to evaluate every possible form of coercion, such as detaining an aggressor, criminal punishment, or compulsory enforcement of contracts.

If a property owner builds a tower that deprives neighbors of sunlight, the question is who has which rights. The same applies when a private dam changes the course of a river, or when noise, light pollution, industrial discharges, or waste harm third parties.

These cases do not concern how to sustain a collective service but how far each person's freedom extends and who must answer when their conduct harms someone else.

The theorem does not resolve those disputes. The presence of an externality may require defining rights and responsibilities, but it does not by itself constitute an exception to the Presumption of Liberty. That is a limit of scope. There are also limits inherent in the theorem itself.

The first is epistemological and arises from the third condition. Proving that voluntary cooperation is structurally unviable requires far more than observing that no alternative exists at a particular moment. But the Collapse Test does not require ruling out every imaginable solution either. The evidence must cover the relevant, plausible voluntary alternatives whose viability has a reasonable foundation.

The Hayekian critique reinforces this caution. Knowledge of possible institutional arrangements is necessarily incomplete, and new solutions may emerge through technological, economic, or contractual change. This uncertainty raises the burden of proof but does not make it impossible to meet. If a relevant alternative remains open and its viability has not been reasonably ruled out, collapse has not been established.

Uncertainty leaves the burden on whoever proposes the exception. As long as a plausible alternative remains open, the third condition remains unproved.

The second limit is institutional. The theorem's conditions do not verify themselves. Applying them depends on decisions made by institutions whose members are subject to error, incentives, and interests of their own. The theorem sets the standard of justification; it does not guarantee the neutrality of those tasked with applying it. A rule designed to contain power may be interpreted or applied in ways that ultimately expand it.

The third limit is temporal. Passing the criterion at a given moment does not grant a function a permanent right to exist. Technological, economic, and institutional changes may eliminate

the conditions supporting an exception or create alternatives that were previously unavailable. Therefore, every exception must remain subject to review. The burden of proof does not reverse with the passage of time: power must demonstrate that the conditions that allowed the exception to remain in place.

The emergence of a voluntary arrangement capable of sustaining the function removes one of the conditions that permitted the exception to be tolerated. Review is therefore part of the criterion itself.

The existence of an exception does not authorize its replication at every level of government. The fact that a function may be tolerated at the federal level does not imply that it must be duplicated at the state, county, and city levels. The theorem applies to the specific function and the level strictly necessary to perform it, not to every administrative structure that might claim authority over it.

One might argue that the reasoning developed here assigns excessive weight to individual liberty and too little to security, stability, or institutional predictability. Many people would be willing to accept some degree of coercion in exchange for a safer, more orderly, or less uncertain environment.

But the Theory of Minimal Tolerance does not depend on everyone valuing liberty more than security. The point is different: that preference is not enough to impose coercion on those who do not share it.

The standard has now been established. From this point forward, no state function may be admitted based on tradition, convenience, intuition, or merely the will of those who govern. Each must demonstrate that it constitutes an exception.

The following chapters will apply this sequence to different functions commonly attributed to the State. If either of the first two conditions fails, the examination ends there. Only when both

are met is it necessary to determine whether persistent collapse of voluntary provision exists and, when that conclusion is disputed, subject the evidence to the Collapse Test.

Chapter Conclusion

The Presumption of Liberty reverses the burden of proof. Voluntary cooperation is the rule; coercion cannot be admitted based on tradition, convenience, utility, or the mere existence of a problem. Whoever proposes an exception must demonstrate that the State will improve the situation compared with the available alternatives.

Effective non-excludability and relevant non-rivalry define the relevant territory. They identify the structure that allows people to receive a benefit while leaving its cost to others.

The heart of the theorem lies in the third condition. It requires demonstrating that this incentive persistently prevents the function from being sustained through voluntary cooperation. The Collapse Test organizes the evidence through three requirements: temporal persistence, institutional breadth, and structural attribution.

The criterion leaves open the form such cooperation may take. A company may solve one case; an association, insurance arrangement, donation, or community agreement may solve another. This is why the same condition allows very different functions to be examined without predetermining how they should be organized.

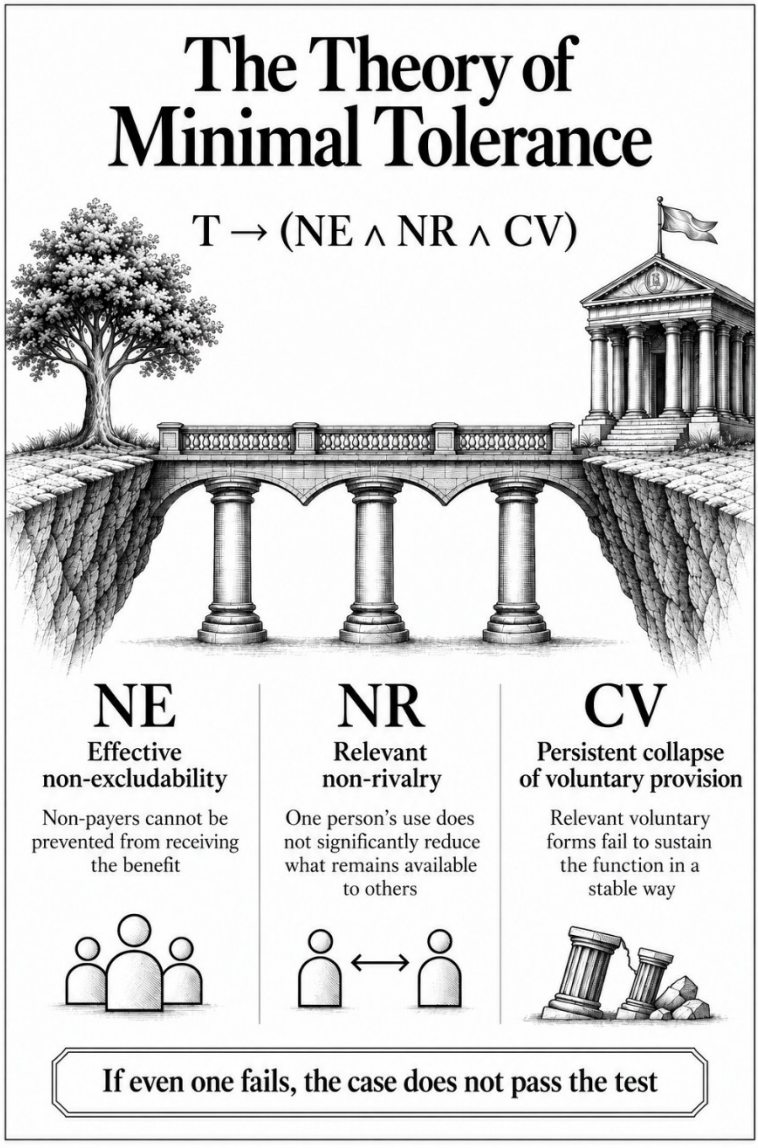
This requirement gives rise to the status of last resort, provisionally, review, and the rejection of institutional *bootstrap*. As long as voluntary cooperation can sustain the function, the exception remains closed. If a new alternative succeeds, one of the conditions allowing the exception to be tolerated disappears.

The three conditions are necessary but not sufficient to make any intervention tolerable. Satisfying them establishes that the function passes the theorem and that responsibility for

guaranteeing it falls to the State. That responsibility does not, by itself, authorize any agency, tax, budget, enforcement rule, or extension of power used to sustain it.

The State thus retains a residual role, confined to the specific function and subject to the same standard throughout the life of the exception. An intervention may be tolerable without thereby acquiring moral legitimacy or extending to other powers.

The criterion does not resolve disputes about rights, allows for gray areas, and does not guarantee the neutrality of those who must apply it. Nor does it seek to freeze a definitive list of powers. From here on, every state must independently demonstrate that it passes the established standard and continue to satisfy it for as long as it remains in place.


The Theory of Minimal Tolerance
T → (NE ∧ NR ∧ CV)
NE
Effective non-excludability
Non-payers cannot be prevented from receiving the benefit
NR
Relevant non-rivalry
One person's use does not significantly reduce what remains available to others
CV
Persistent collapse of voluntary provision
Relevant voluntary forms fail to sustain the function in a stable way
If even one fails, the case does not pass the test

Act Two

The Exceptions

5

The Test

Part I

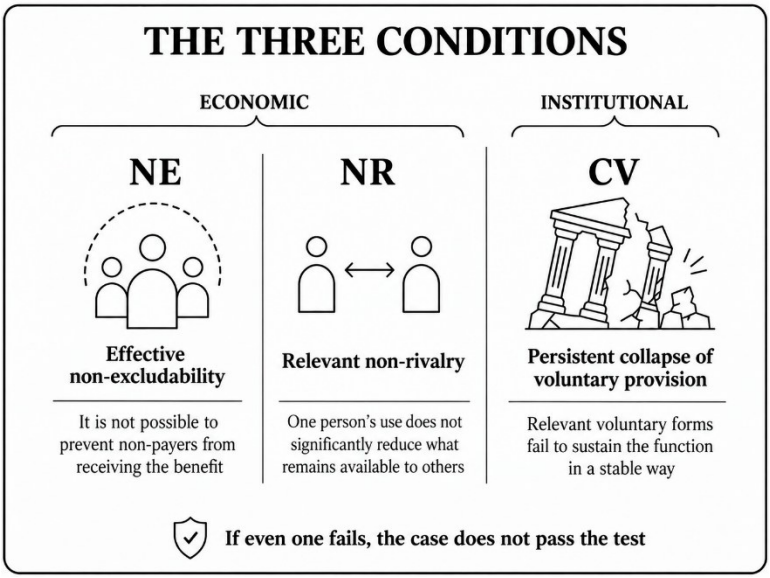


IT IS TIME TO PUT the Minimal Tolerance Theorem through its first series of tests.

To pass the required standard, all three conditions must be satisfied simultaneously: effective non-excludability (NE), relevant non-rivalry (NR), and persistent collapse of voluntary provision (CV). The first two define the economic structure; the third requires determining whether voluntary cooperation can sustain the function.

The examination will follow the sequence established in the preceding chapter. When a function meets the first two conditions, CV must be assessed through the Collapse Test: temporal persistence, institutional breadth, and structural attribution.

The present absence of voluntary alternatives will not, by itself, be treated as proof of collapse when their development has been blocked or displaced by monopolies, regulations, privileges, or other state-imposed barriers.



The purpose of this chapter is not to judge the consequences of functions commonly assigned to the State, but to establish whether they satisfy the theorem's conditions.

The State may perform a function directly or contract third parties to carry it out. In either case, it retains authority and remains ultimately responsible.

Security, Defense, and Enforcement of Rules

Defense of the territory and its population provides a test of all three conditions. Consider a military invasion, a large-scale terrorist attack, aggression against critical infrastructure, or certain forms of cyberattack. When someone attempts to bring down an entire country's power grid, the effects cannot be limited to those who finance its protection. Excluding noncontributors is impossible. Protecting one person does not reduce the protection available to others either.

Internal security and the judicial system serve a broader purpose than any patrol, investigation, or proceeding sustaining an order in which force does not become the customary means of settling disputes. When organized crime dominates a territory, collective violence spreads unchecked, or rights depend exclusively on each person's ability to defend them, the deterioration affects society.

Major emergencies have a similar structure when harm can spread beyond those initially affected. Large fires, massive gas leaks, floods, earthquakes, and industrial accidents may require immediate coordination to contain risks that simultaneously threaten entire populations.

A truly devastating epidemic combines high mortality, extremely rapid contagion, and transmission that is difficult to contain. The threat is collective, reaches large groups at once, and may demand extraordinary responses.

An asteroid with a high probability of impact or an extraterrestrial invasion pushes the argument to its limit. The point is not to predict the next interstellar contact, but to test the consistency of the criterion when the conditions reach their most demanding extreme.

In all these cases, NE and NR are clearly present. The effects cannot readily be restricted to contributors, and the coverage one person receives does not significantly reduce what is available to others. CV remains to be examined.

Had someone presented these cases to me a few years ago, my answer would have been immediate: none of these examples prove that voluntary provision is unviable. Private security companies, arbitration mechanisms, insurers, contractual systems, and various forms of decentralized provision already perform similar functions.

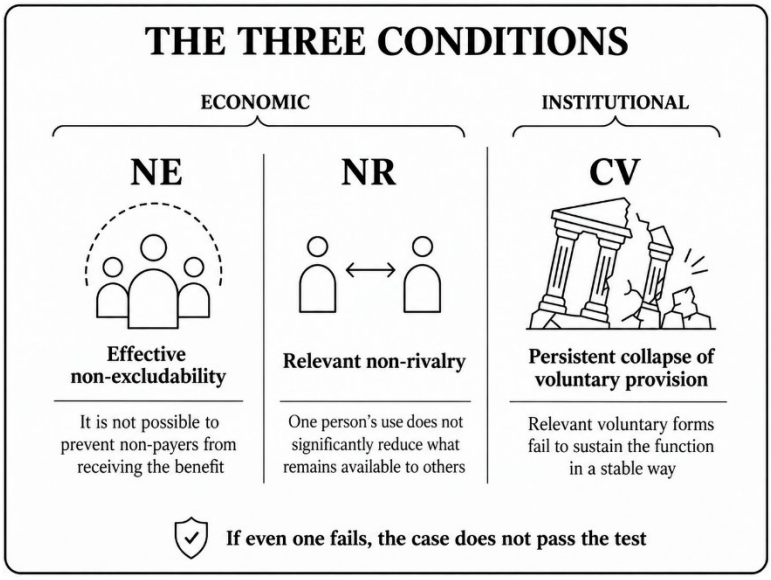
The Collapse Test examines whether those alternatives can sustain the entire collective function. Temporal persistence: territorial defense requires maintaining operational capabilities even through decades without an invasion; general security and justice must function continuously. Institutional breadth: security companies, private courts, and contracted military services may operate indefinitely, but their partial coverage does not guarantee protection for the entire population and territory. Structural attribution: it must be established whether voluntary alternatives, even when combined, can sustain that coverage with sufficient funding, coordination, and participation, after ruling out state restrictions that have impeded their development.

But there is another angle: not only when people are compelled to finance a function, but when they are compelled to perform it. Imagine a country invaded without provocation, whose survival depends on part of its population taking up arms and fighting. If too few volunteers come forward, defense may become

impossible. CV may be satisfied by persistent failure of participation as well as by persistent failure of funding.

That does not mean the same applies when the country itself initiates military aggression. Between these extremes lie fewer clear situations, whose treatment depends on the circumstances.

These functions satisfy all three conditions and were the principal inspiration behind the formulation of the theorem.



Housing, Pensions, Healthcare, and Education

Few needs are as basic as food and shelter. Even so, they are especially clear cases under the theorem. Housing and food are ruled out in the first two stages of the test: they are excludable and rival goods. Lack of resources raises a distributive question but does not change those characteristics.

Pensions

Saving for old age is excludable and rival, and can be organized through individual accounts, investment funds, occupational plans, annuities, and other contractual arrangements.

Mandatory systems are usually based on paternalism: some people are assumed to save less than they should. Intervention replaces individual decisions about how much to save, when to save it, and how to manage those resources. A uniform rule may benefit someone who would otherwise have saved too little for retirement and harm someone who would have saved more, earned better returns on investments, or preferred to use a larger share of income during working life. A common rule imposes the same retirement strategy in different circumstances, benefiting some people and harming others.

Private systems have operated for decades. The 401(k) plans in the United States and Denmark's funded occupational schemes provide two distinct, compelling examples of retirement savings accumulated through assets.

Funding through invested assets exposes savers to market fluctuations, fees, investment choices, and irregular work histories. In pay-as-you-go systems, current benefits depend primarily on contributions from those who are working, while future benefits are tied to demographic trends, wages, contribution rates, retirement ages, and the rules in effect when payments are received.

When the number of workers per retiree falls, maintaining equilibrium requires some combination of higher contributions, later retirement ages, lower benefits, or additional tax revenues. If the imbalance exceeds the system's capacity to adjust, it may become unsustainable and collapse. Its continuation then depends on changing the conditions under which different generations made their contributions.

We are dealing with a promise of future benefits whose content depends on political decisions and is subject to rules that can change at any time. There is an even greater risk: control over assets changes incentives. When the State controls a stock of capital, the separation between protecting those resources and using them for public purposes becomes politically fragile.

Medical Care

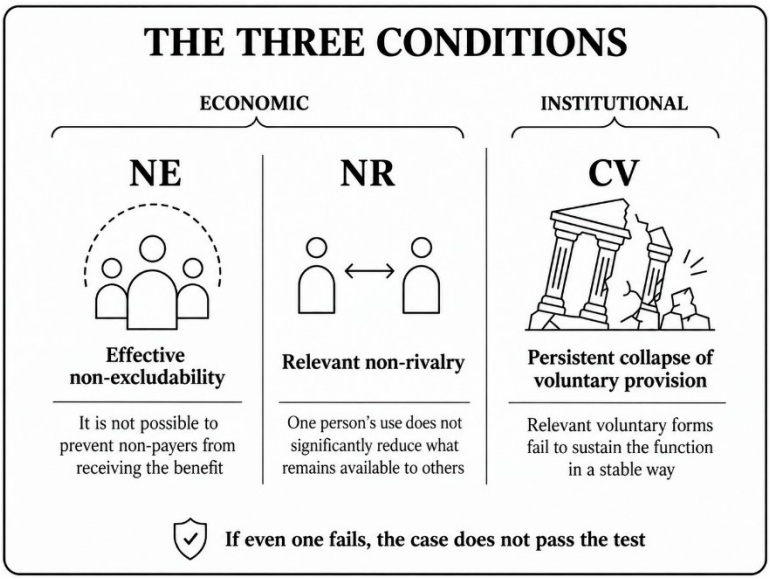
A consultation, diagnostic test, surgical procedure, or hospital admission is an excludable and rival service. An occupied bed is unavailable to another patient; an hour of a surgeon's time permits only one operation; medicines, rooms, and equipment are committed to each treatment. Access can be organized through direct payment, insurance, mutual organizations, and private providers. Ordinary medical care is therefore outside the theorem from the outset.

People with income already devote part of it to healthcare through taxes, mandatory contributions, premiums, or direct payments. In a private structure, those funds would go to an insurer, provider, or account designated for medical expenses. The cost exists under any form of organization; what changes is where the money goes and who decides how it is used.

When someone lacks sufficient means, the same shortage may affect access to housing, food, and other goods. Foundations or solidarity funds may cover those costs. The core problem is distribution: someone needs an existing service and lacks the money to buy it. Nor does the State offer unlimited coverage. Medicines, procedures, and treatments may be partially or entirely excluded, delayed, or require additional out-of-pocket payments.

The extreme case arises when no company is willing to ensure a patient or agrees to do so only on terms the patient cannot afford. Care may exist and a provider may be willing to deliver it, yet the

means to obtain it may be lacking. This presents a different dilemma, one that should not be concealed within a debate about provision.



Education

Like healthcare, education produces enormous individual and social benefits. Learning to read can transform a life, expand opportunities, and shape much of a person's future development. Even if we grant that some of those benefits extend to third parties, educational services are excludable and rival. A seat in a classroom, a teacher's time, and the attention devoted to each student are limited, while access may depend on enrollment, payment, or admission criteria. Schools, institutes, tutors, and homeschooling also demonstrate different forms of voluntary provision. Ordinary education is therefore outside the theorem from the outset.

In higher education, the arrangement is straightforward. An adult chooses whether to study, where to do so, and how to finance it. They may pay from income or draw on savings, loans,

scholarships, or family assistance. A university provides a service to someone who chooses to purchase it.

Those responsible for minors make decisions that can affect for decades someone who does not yet possess full autonomy. If they fail to provide even an elementary education, a question arises about their obligations toward the child. It does not follow that the State should finance schools, much less administer them, establish a model of education, or determine their curricula.

Choosing what to teach, how to teach it, which methods to use, what discipline to apply, and which values to emphasize is part of the educational experience. A decentralized structure allows different families to choose between different approaches and schools to compete in those dimensions as well.

Lack of resources introduces a distributive component, just as it does with food, housing, and healthcare. The absence of money in a household does not change the nature of the service.

Two students may attend the same public system yet receive very different educational experiences depending on the school, the setting, available resources, and family circumstances. Support at home, stability, study habits, and the involvement of caregivers also influence their trajectories. The absence of direct payment does not mean the education received has been equalized.

Private schools can perform badly, and public schools can achieve excellent results. This theory does not assume the automatic superiority of one management model over another. The importance of education, the existence of obligations toward minors, and the desirability of expanding opportunities do not turn education into an activity that the State must finance or administer.

Urban Services

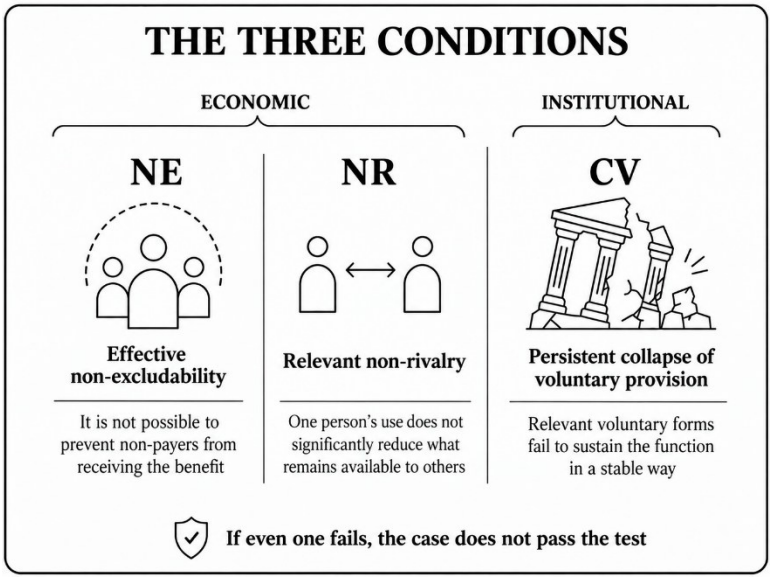
Waste collection and connections to sewer networks allow nonpayers to be excluded. Both services can be organized through fees or contracts and suspended for nonpayment. Neither scale nor magnitude changes that characteristic.

Stormwater drainage requires a distinction. Works serving identifiable properties can be financed directly by their beneficiaries. By contrast, systems that protect an entire area also benefit noncontributors, without protection for some reducing protection for others.

Street, square, and park lighting can satisfy NE and NR when excluding noncontributors is impracticable. CV remains an open question: it must be determined whether voluntary arrangements can finance and maintain the lighting reliably.

Property registries and land cadasters merit separate examinations. Economic activity depends on clearly identifying who holds each right. This information reduces disputes, facilitates exchange, and provides predictability.

Registration, consultation, and certification may be financed through fees and organized contractually. Their value as common reference points introduce a coordination difficulty but does not by itself establish effective non-excludability. Arbitration and title documentation can also operate through voluntary mechanisms.



Streets and Highways

Building and maintaining a road network requires significant investment, coordination, and long-term planning. Once it is built, many people can use it without having contributed to its financing.

In some cases, exclusion is simple. Toll highways, private roads, and streets within gated communities can restrict access for nonpayers. These situations fall outside the theorem from the outset.

The same applies to transportation services and many forms of commercial infrastructure: they can exclude nonpayers and use resources whose availability diminishes with use.

Major urban arteries and open highways present a different situation. Excluding noncontributors may be technically or economically unviable, while the benefits extend to large numbers of users.

The value of a road network lies not in exclusive use of a stretch of asphalt but in the connectivity it provides. Thousands of people may benefit simultaneously without preventing others from doing the same. Congestion may introduce relevant rivalry when demand

exceeds available capacity, so this condition depends on each road's characteristics and level of use.

If voluntary contributions are insufficient to build a particular project, that shows only that people are unwilling to finance it to the necessary extent. Its usefulness alone does not justify compelling third parties to pay for it. Still less does it justify embarking on the grandiose vanity projects through which many governments seek prestige or political gain at taxpayers' expense.

CV remains to be examined. An open road network might be financed through agreements among property owners, businesses, associations, and other beneficiaries. The Collapse Test must establish whether those alternatives, separately or combined, can build and maintain the network reliably over the necessary period, and whether any eventual failure results from the incentives inherent in an open road or from external obstacles that prevented those alternatives from developing. This case also leaves reasonable room for doubt.

Labor and Asymmetries

The labor market is home to one of the most pervasive forms of state intervention in everyday life. Minimum wages, mandatory leave, severance payments, contractual restrictions, compulsory contributions, rules on pay frequency, social security, collective bargaining, mandatory annual bonuses, required insurance, and occupational health regulations are commonly presented as mechanisms for protecting workers.

These interventions usually rest on the idea that certain employment relationships require limits even when both parties accept the agreement.

The concern is that parties may accept agreements third parties regard as unacceptable. An employee might agree to excessively long working hours, risky conditions, compensation others

consider insufficient, or terms judged unfavorable. The employee might also prefer greater income today rather than devoting part of it to retirement, healthcare, or future insurance. Similarly, a company may decide to hire, promote, or pay employees using arbitrary, unfair, or discriminatory criteria.

The argument is that certain agreements should not be allowed even if both parties are willing to accept them, or that certain outcomes are unacceptable even when reached voluntarily. The foundation remains paternalistic or distributive, whether the measures produce the expected results.

A related objection holds that differences in resources, information, or bargaining power between the parties justify restrictions on voluntary agreements.

Someone who depends on their job to make a living may have fewer alternatives when negotiating. But it does not automatically follow that an agreement reached in such circumstances ceases to be legitimate, or that third parties acquire special obligations toward the person who accepts it.

The strongest version of this objection arises when economic inequality makes the effective defense of rights difficult. One party may be able to sustain prolonged litigation or bear legal costs that are prohibitive for the other. Even if we accept this, the conclusion is not obvious. If the problem is access to justice, it concerns the functioning of the judicial system, not freedom of contract.

Differences in resources, information, experience, and bargaining power will always exist. Their existence alone does not determine when voluntary agreements should be restricted.

There is a paradox. If that criterion is enough to restrict voluntary agreements between private parties, we must also explain why it ceases to apply when the power imbalance reaches its greatest expression: the relationship between the individual and the State.

Financing Political Parties

Nothing prevents people who wish to advance a particular political proposal from contributing resources to the organizations that represent it.

Those who support them may pursue different objectives. Some seek to promote certain ideas. Others seek influence. Parties pursue survival, growth, and the accumulation of power. Forcing taxpayers to support them leaves those incentives exactly where they were.

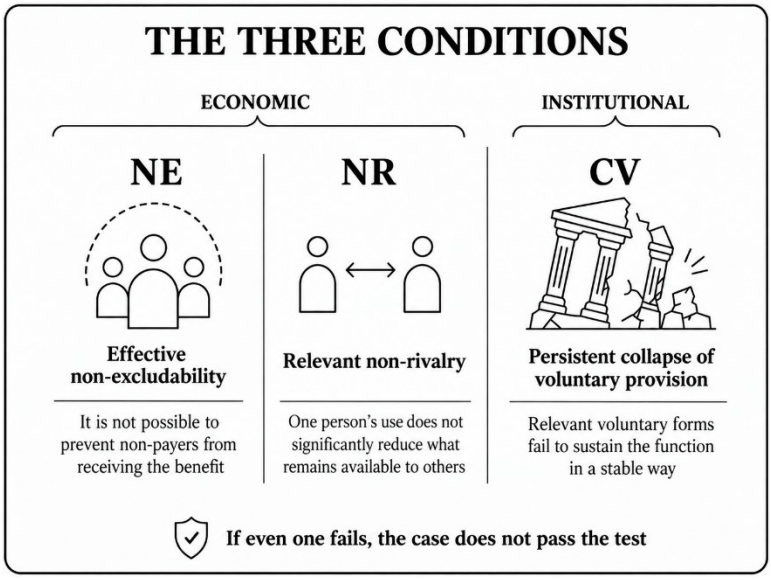
The claim is that major donors buy favors. But an exchange exists only when someone is willing to grant them. When a judge accepts money in return for a favorable ruling, no one places the primary blame on the person offering the bribe. The condemnation falls on the judge who sells a decision that is not theirs to sell. In political financing, that reasoning is often reversed.

Portraying political organizations as vulnerable to the influence of major donors while at the same time entrusting them with enormous budgets... creates an obvious tension.

The incentive to seek influence does not begin during an election campaign. It begins with the power to distribute contracts, subsidies, protections, exemptions, and privileges. Attention usually focuses on those trying to secure these benefits and much less on those with the power to grant them. The target is not the campaign. It is the decision.

The objection itself ends up describing organizations vulnerable to capture, willing to exchange favors, and capable of distributing benefits of enormous value.

The easier political favors are to buy, the harder it is to justify concentrating power in the hands of those who can sell them.



Barriers to Entry and State Participation

Few activities present entry barriers as high as those faced by political parties. Creating a competitive alternative requires time, resources, organization, and a territorial structure that established parties already possess. Yet the issue rarely raises concern. The contrast becomes clear when we look at the commercial aviation industry. Alongside these barriers, the role governments have played in developing the leading manufacturers is often cited.

Producing a commercial aircraft requires investments of billions of dollars, years of development, demanding certification processes, and a supply chain spanning dozens of countries. Boeing and Airbus dominate much of the global market. Airbus began as a project promoted by several European governments. Boeing receives billions of dollars in military and space contracts from the US government. COMAC develops its programs with substantial Chinese state support.

It is impossible to know how the industry would have evolved without that support. But even if we concede that the State accelerated its development, it does not follow that voluntary provision would have collapsed.

Moreover, an aircraft remains an excludable good. Only its owner or someone authorized to use it can do so. It is also rival: the same aircraft cannot provide two separate services simultaneously.

The Island and the Hurricane

Imagine a classic scarcity scenario: an isolated community after a catastrophe. Communications and power are cut off, roads become unusable, and supply systems stop operating. Water, food, and fuel all but disappear from the market.

Water, food, and fuel remain excludable and rival, so the case is ruled out in the first stages of the test.

The episode also helps clarify structural attribution. The disruption of provision results from physical damage to roads, energy systems, and communications. The destruction of productive and logistical capacity explains the shortage; consequently, this episode does not establish CV.

The usual response is to freeze prices, impose rationing, or restrict trade. Such measures may alter the distribution of goods, but not their economic nature or the conditions under examination.

The severity of the shortage does not, by itself, change the result.

Closing of Test I

The first series of tests shows that the theorem does not assess how important a function is or how serious the need it addresses

may be. It requires NE, NR, and CV to be satisfied simultaneously. If anyone fails, the case is ruled out.

Territorial defense, internal security, the judicial system, major emergencies, devastating epidemics, and other collective threats pass the theorem's test. NE and NR are clearly present, and, in these cases, the incentive structure may prevent voluntary provision from reliably sustaining the function when some shift its costs onto others.

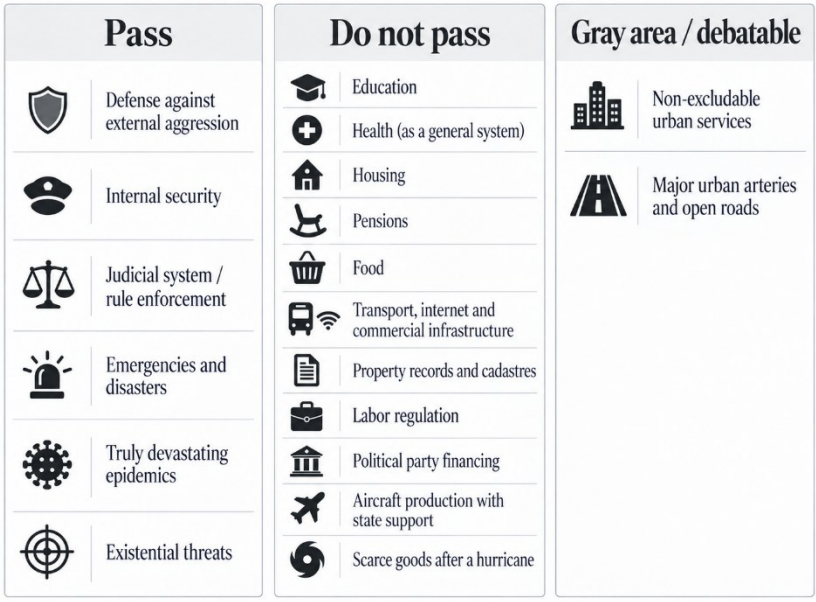
Education, healthcare, housing, food, and pensions may be essential and generate considerable social benefits. None of that eliminates their rivalry or makes paternalistic or distributive reasons satisfy the theorem's conditions.

Urban services and road networks must be assessed function by function. Many allow exclusion and are therefore ruled out. Non-excludable services, major arterial roads, and open highways remain in a gray area because it is still unclear whether voluntary provision can sustain them reliably.

Labor regulation and compulsory financing of political parties are ruled out for clearer reasons: their justifications do not meet the theorem's conditions.

An industry supported by the State does not establish CV, and a disaster that disrupts supplies does not turn water, food, or fuel into non-excludable, non-rival goods.

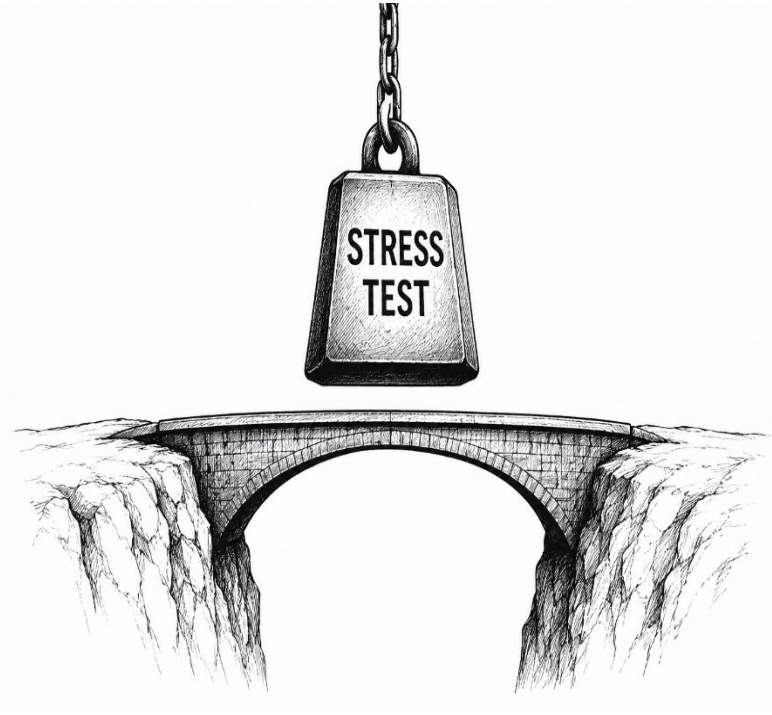
The theorem's restrictive character is thus confirmed. NE and NR rule out a large share of the functions examined. For the remainder, the Collapse Test requires establishing that the inability of voluntary provision persists over the relevant period, extends to plausible alternatives, and arises from the incentives inherent in the case. Only then is CV satisfied.


Pass
Defense against external aggression
Internal security
Judicial system / rule enforcement
Emergencies and disasters
Truly devastating epidemics
Existential threats
Do not pass
Education
Health (as a general system)
Housing
Pensions
Food
Transport, internet and commercial infrastructure
Property records and cadastres
Labor regulation
Political party financing
Aircraft production with state support
Scarce goods after a hurricane
Gray area / debatable
Non-excludable urban services
Major urban arteries and open roads

5

The Test

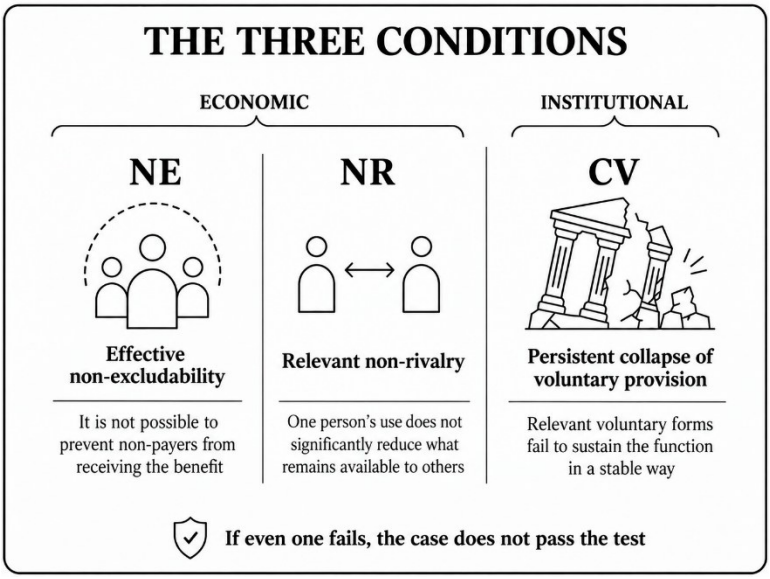
Part II



THE MOST DIFFICULT CASES DESERVE separate consideration. Natural monopolies, central banks, financial crises, scientific research, cultural heritage, the environment, and medicines are all part of the classic repertoire of this debate.

They appear across schools of thought, ideologies, and generations. In the pages that follow, each will be examined in turn.

Unlike many earlier cases, several functions considered in this chapter satisfy effective non-excludability (NE) and relevant non-rivalry (NR). The examination therefore focuses on whether persistent collapse of voluntary provision (CV) exists.



Monopolies, Cartels, and Dumping

At first glance, electricity grids, water supply networks, gas pipelines, and railways might appear to approach the standard required by the theorem. If the economic structure of an activity itself favors concentration; it might seem reasonable to conclude that the activity constitutes an exception.

The notion of a strategic activity has no objective limits. What one government or era regards as strategic, another may not. This classification depends on the political judgment of whoever uses it, not on an objective characteristic of the activity.

Even setting that debate aside, an essential step remains. Voluntary provision does not guarantee any number of suppliers. Some markets will have dozens of companies, others two, and still others only one. There will also be goods or services no one offers. If concentration emerges without artificial barriers to entry, it simply reflects the characteristics of the activity.

Nor can we assume that a firm in such a position operates without constraints. As long as entry remains open, the possibility of competition disciplines its conduct, even if new suppliers ultimately do not appear. What matters is not the number of competitors but the freedom to compete.

Imposing a predetermined number of competitors assumes that one knows in advance what the appropriate market structure should be. But discovering that is precisely what the competitive process does.

Having only one option may be inconvenient for consumers, but the freedom to choose among providers must not be confused with a right to have those providers exist. The absence of competition establishes neither NE nor NR. Nor does it, by itself, establish persistent collapse of voluntary provision (CV).

The same is true of cartels and so-called dumping. Several firms may coordinate prices, restrict output, or divide markets, thereby reducing competition. Likewise, a company may choose to sell below cost for a time. Every owner is free to set whatever prices they consider appropriate, even if doing so entails temporary losses. Such a strategy benefits consumers and, precisely because it generates losses, cannot be sustained indefinitely.

Monetary Monopolies

Central banks are commonly assigned functions related to currency stability, payment systems, banking supervision, liquidity provision during crises, and overall coordination of the financial system.

The existence of these institutions, however, is no guarantee. Inflation, lost purchasing power, discretionary manipulation of interest rates, monetary expansion to finance public spending, systematic bailouts of reckless actors, and financial crises have appeared time and again.

A community can trade, save, invest, and calculate prices using currencies issued in other jurisdictions. Foreign currencies, precious metals, digital assets, and other mechanisms demonstrate that money does not necessarily depend on a local monopoly.

The situation changes when considering institutions such as the US Federal Reserve or, to a lesser extent, the European Central Bank. In these cases, the relevant object is no longer simply a national currency. These are monetary infrastructures used by a significant share of the world economy. Millions of contracts, international reserves, financial instruments, and commercial transactions rely on the dollar or the euro.

NE is satisfied relatively clearly. The benefits of a widely accepted monetary reference extend far beyond those directly involved in its administration. Companies, governments, banks, investors, and individuals around the world depend on that infrastructure. Excluding them from its advantages would be extremely difficult.

NR is also satisfied. One person's use of an international reserve currency does not reduce its usefulness to others. On the contrary, network effects tend to increase their value as the number of users grows.

Finally, CV requires examining the capacity to sustain a monetary reference of global reach. Banks, companies, and

governments use that infrastructure to make payments, hold reserves, and enter into international contracts. Its continuity requires a reliable monetary unit, settlement mechanisms, and the capacity to supply liquidity during crises that threaten the system.

The Collapse Test considers the need to maintain those capacities for decades, including periods of crisis; the limits of private agreements when a crisis affects the entire system at once, since each institution has incentives to protect its own liquidity even when that behavior may jeopardize overall stability; and the coordination and financing incentives that make it difficult to bear the costs and risks collectively. Under this narrow definition of the function, CV may be satisfied.

Systemic Financial Crises

The preceding analysis naturally leads to another question. What happens when the risk no longer affects a particular institution but the functioning of the financial system as a whole?

NE is satisfied. The benefits of a stable financial system extend far beyond the institutions directly involved in maintaining it. Businesses, workers, savers, investors, and consumers all benefit from payment, credit, and settlement mechanisms that continue to operate normally.

NR is also satisfied. One person's use of these mechanisms does not reduce their usefulness to others.

Assessing CV requires considering what happens when a crisis threatens the financial system. Every institution may try to preserve its liquidity, withdraw financing, or sell assets. When many act this way simultaneously, individually reasonable decisions can jeopardize the continuity of payments and credit.

The 2008 crisis illustrates that risk. US authorities resorted to extraordinary bailouts and guarantees to prevent systemic collapse. Memories of the Great Depression weighed on those decisions.

Bush was aware of the precedents of Hoover and Roosevelt and preferred to intervene rather than risk repeating the mistakes historically attributed to the former.

Yet the 2008 crisis was also shaped by private incentives, regulations, public policies, and government guarantees. The Collapse Test requires separating those causes from the need to guarantee systemic stability. Private liquidity and clearing arrangements can sustain parts of the system, but they depend on institutions whose response capacity weakens simultaneously during a generalized crisis. This vulnerability persists over time, affects different forms of voluntary coordination, and arises from financial interdependence. For guaranteeing the stability of the system, CV is satisfied.

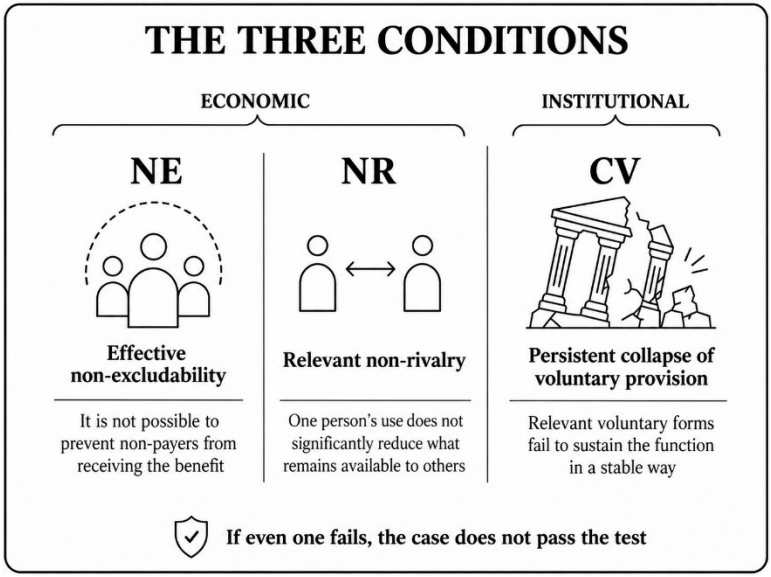
The Unconscious Motorcyclist

A person without health insurance suffers a serious accident and becomes unable to express their wishes. They cannot accept treatment, refuse it, or commit to paying any cost. Their life depends on immediate medical intervention.

Few would consider it acceptable to let the person die because they had not purchased insurance. A doctor, an ambulance, or an emergency service will attempt to help even without a guarantee of payment. Urgency displaces, at least temporarily, questions that would be unavoidable in ordinary circumstances.

There are situations in which immediate help is necessary even without a prior agreement. Denying this would require a moral indifference few people are willing to accept. The unconscious motorcyclist is one of those cases: unable to decide for themselves, they may face an irreversible cost if help is delayed.

The emergency does not change the nature of the service. The exception does not change the rule. Outside such circumstances, the provision of medical services remains primarily in the hands of individuals, associations, and voluntary organizations.



The Impossibility of Verification

Many goods and services require knowledge that most people do not possess. Medicines are among the most demanding cases. Assessing their safety and effectiveness requires trials involving human beings, in which a mistake can cause irreversible harm. Conflicts of interest, patents, and emergencies in which delays can cost lives also come into play. Moreover, medicines are excludable and rival goods.

Those circumstances do not make the State the only possible evaluator. The same applies when a passenger boards an airplane. Passengers cannot personally verify the aircraft's design, the condition of its engines, or the pilots' training. They trust a network of manufacturers, engineers, technicians, airlines, insurers, and certifiers, each responsible for part of the process. Credibility arises from the interaction of reputation, certification, accountability, and competition.

The fact that medicines today are generally safe or that plane crashes are exceptional does not allow us to attribute those results exclusively to the State either.

Official approval can inspire confidence, organize information, and facilitate decisions, especially during an emergency. It can also delay useful treatments, block alternatives, raise entry barriers, and favor those with enough resources to meet regulatory demands. The very instrument that promises to protect consumers may end up preserving the position of those who already dominate the market.

Generic medicines clearly illustrate this dynamic. Intervention is usually presented to expand access, yet often operates within an existing web of exclusivities, patents, authorizations, and barriers that political power itself helped create. First, it limits who may produce, under what conditions, and for how long. Then it introduces new rules to mitigate the effects of those very restrictions.

Reputation, liability for harm, insurance, independent certification, and competition create ongoing incentives to maintain quality. Nobody chooses an airline whose planes frequently crash. Nobody buys medicines from a laboratory that systematically harms its patients. The complexity of assessment remains regardless of which institution performs it. Concentrating that function does not eliminate uncertainty; it merely changes who makes the decision.

The Lighthouse

This is a classic case in public-goods theory. The light reaches every vessel within the illuminated area, whether it contributed to financing the lighthouse. At the same time, one ship's use of that reference does not prevent other ships from using it.

NE and NR therefore seem difficult to dispute. The decisive issue is voluntary provision. The fact that sailors can benefit from

the service without bearing its cost is not enough to establish that nobody will be willing to sustain it.

Lighthouses may be part of port services or arrangements among shipowners, shipping companies, insurers, and organizations interested in reducing navigational risks. Anyone who earns revenue from ships arriving safely has an incentive to contribute, even if the light also benefits third parties.

The requirement of institutional breadth prevents us from treating collapse as established while relevant voluntary arrangements capable of sustaining the service remain available. Without that final step, the case does not pass the theorem.

Basic Scientific Research

Many of the greatest scientific discoveries were made decades before the technology needed to exploit them existed.

When Maxwell formulated the equations of electromagnetism, he was not creating the telecommunications industry. When the pioneers of quantum mechanics tried to understand the behavior of subatomic particles, they were not designing computers, lasers, or satellite navigation systems. The benefits would appear decades later and be enjoyed by people who are impossible to identify when the investment was made.

The future value of a scientific discovery is often impossible to predict. A company can estimate the expected profitability of a new factory or product. Nobody can do the same for a theory whose usefulness is still unknown. Those who finance that research bear the costs, while its results may emerge decades later and extend to millions of people. The more fundamental the knowledge produced, the harder it becomes to capture the value it creates.

Before evaluating the three conditions, we should clarify what we mean by basic scientific research: the search for the foundations

of phenomena without pursuing a particular application. This distinguishes it from applied research, which is directed from the outset toward a concrete practical objective.

NE is satisfied. The benefits derived from knowledge extend well beyond those who financed its creation, and completely excluding third parties from those benefits is difficult.

NR is satisfied as well. Once produced, knowledge can be used simultaneously by a virtually unlimited number of people without being depleted or diminished by that use.

What about CV? Throughout history, universities, philanthropic foundations, academies, corporate laboratories, and public agencies have driven fundamental advances. Bell Labs produced extraordinary discoveries financed indirectly through commercial activities. Even research into rare diseases has received support. All of this shows that basic scientific research can be funded voluntarily.

The theorem does not evaluate isolated examples but the capacity to sustain an activity over time. The existence of private funding does not mean that the same mechanism is sufficient to maintain it. Pharmaceutical companies, for example, invest enormous resources because they expect commercial returns. The question is whether that incentive would also be sufficient to sustain the pursuit of basic knowledge, whose fruits are often uncertain and, in many cases, impossible to appropriate exclusively.

The Collapse Test leaves the result open here. Diverse and enduring voluntary alternatives exist, but doubts remain about their ability to sustain basic research over the relevant period and at the required scale. I consider it more likely that CV is satisfied than that it is not.

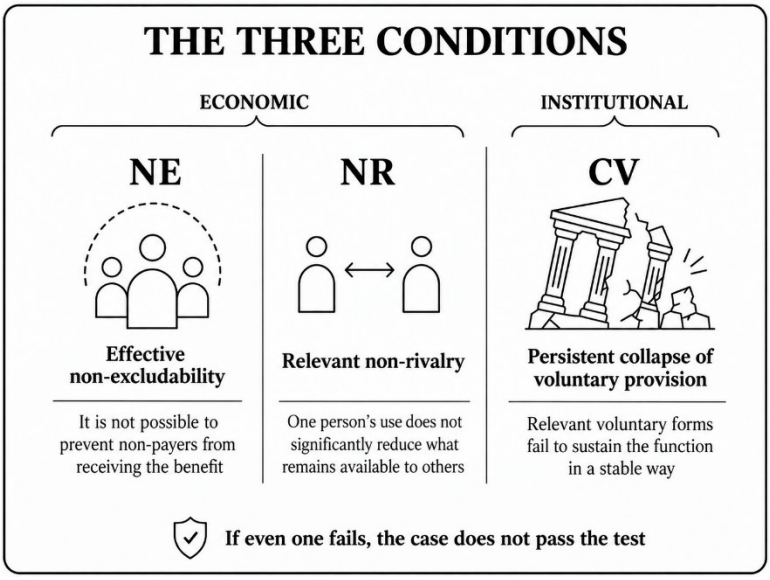
Cultural Heritage and Preservation

The destruction of the Library of Alexandria is probably the best-known example of an irreparable loss. The same happened to countless manuscripts, historical records, languages, works of art, and documents lost throughout history. In each case, the possibility of discovering their value for future generations disappeared as well.

The costs fall on those who finance archives, restorations, libraries, or conservation systems. The potential benefits, by contrast, are spread across entire generations that do not yet exist and will never participate in the decision.

Heritage preservation has been advanced by a wide variety of institutions. Museums, universities, private foundations, religious orders, patrons, learned societies, and governments have all contributed to the task at different times.

NE and NR are satisfied. The Collapse Test, however, points in the opposite direction: preservation has demonstrated continuity over time and wide institutional diversity. That history makes it difficult to argue that voluntary provision would collapse over the relevant period. CV is not satisfied.



The Global Environment

Local pollution can often be addressed through property rights. When a factory dumps waste into someone else's river or causes identifiable harm, there are identifiable responsible parties and victims. The situation is very different when environmental effects are spread among millions, cross national borders, or emerge only decades later.

The same reasoning applies to ecosystems whose preservation generates benefits far beyond their direct users, such as Yellowstone, the Galápagos Islands, and certain nature reserves, as well as forms of pollution with global reach. No individual action seems decisive. The benefits of preservation extend to future generations that took no part in bearing the costs required to achieve them.

NE and NR are satisfied. The benefits extend far beyond those who bear the costs and reach large groups of people simultaneously. CV remains open to the Collapse Test: we must establish whether the difficulty of sustaining protection persists over the

relevant period, extends to plausible voluntary alternatives, and arises from the incentives inherent in the case. In genuinely global problems, that possibility is especially strong.

Strategic Dependence

Few sectors seem as valuable to a modern economy as the production of advanced semiconductors. Communications, financial systems, artificial intelligence, energy infrastructure, military equipment, transportation, and a vast number of activities depend on them directly or indirectly.

For decades, the industry evolved according to the logic of global specialization. US companies such as Apple, NVIDIA, and AMD focused their efforts on design and innovation, while much of manufacturing moved to highly specialized producers such as TSMC in Taiwan. The result was an extraordinary combination of efficiency, innovation, and lower costs.

The possibility of military conflict in the region has led numerous governments to reconsider how prudent it is to depend on productive capacity concentrated beyond their borders.

If we look only at semiconductor production, the case seems straightforward. Chips are excludable, scarce goods produced voluntarily on a large scale. Their manufacturers earn profits, those who need them are willing to pay, and production continues to expand.

The situation changes when the objective is no longer producing semiconductors but preserving an industrial capability against a possible military conflict. Chip production is excludable and rival, so it falls outside the theorem. Preserving a strategic capability, by contrast, protects the population without the benefit of being depleted as it extends to others. Maintaining it requires investment over decades, even when relying on foreign suppliers, is more economically advantageous. Private incentives favor dependence and

make it difficult to finance a nationwide reserve capacity voluntarily. Under this definition of the function, NE, NR, and CV are satisfied. Preserving this capacity does pass the theorem.

Discrimination and Repugnant Agreements

Some situations provoke an immediate and understandable rejection. Unlike the cases examined so far, they do not pose problems of exclusion, rivalry, or collapse of voluntary provision. What is at stake is conduct, decisions, or agreements that many people consider unacceptable.

A company might discriminate against women in hiring. A landlord might reject tenants of a particular religion. A business might exclude certain racial groups. A lender might offer loans at usurious rates. A pawnshop might enter into agreements others regard as exploitative. The sale of organs, prostitution, certain consensual sexual practices, and the sale of products harmful to health also provoke strong rejection.

Contractual disputes, property conflicts, fraud, aggression, and harm caused to third parties belong to another category. In these cases, individuals make incompatible claims and some form of arbitration is necessary to determine responsibility and resolve the dispute.

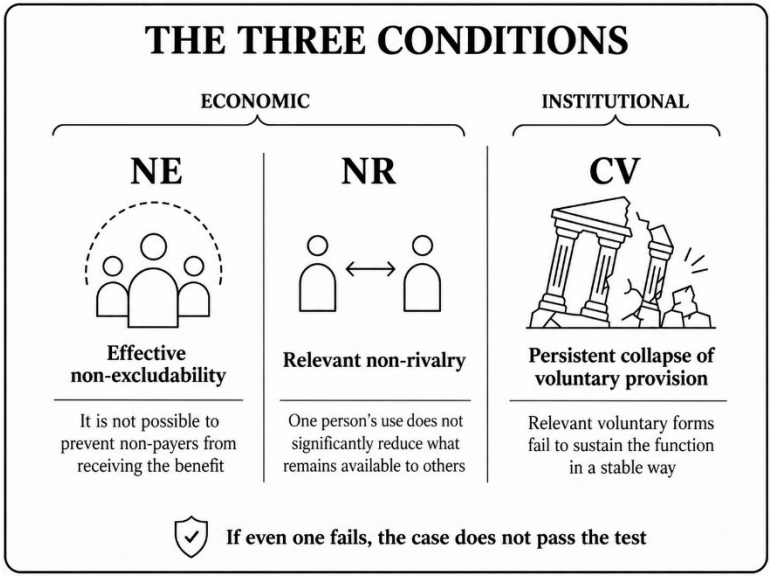
But respecting others' decisions when they do things we consider reasonable is hardly an achievement. The real test comes when people use their freedom in ways we deeply disapprove of. That idea runs through much of Block's work.

In such cases, the aim is no longer to resolve a conflict between individuals but to replace mutual consent. There is not necessarily an identifiable victim demanding protection from another person. The objective is to decide which exchanges may take place, and which must be prohibited.

The usual justification is that individuals do not always fully understand the risks they assume. But whoever seeks to replace those decisions bears a double obligation: to demonstrate a better understanding of each person's particular circumstances and to explain why that greater knowledge—if it exists—gives them authority to decide in that person's place.

The same logic could be extended to an almost unlimited number of human decisions. People make mistakes in choosing jobs, starting businesses, taking on debt, selecting medical treatments, managing savings, and entering personal relationships.

If today we accept that a majority may prohibit certain conduct because it considers it immoral, tomorrow another majority may prohibit practices we now regard as perfectly moral.



Unowned Land

The last case we will examine is also the most extreme. Imagine a distant future in which a catastrophe drastically reduces the world's

population. Entire regions remain uninhabited for centuries, records disappear, former owners die without identifiable heirs, and whole cities are eventually abandoned. When humanity begins to expand again, enormous stretches of land no longer have a recognizable owner.

We are not talking about temporarily abandoned properties, land whose owners stopped paying taxes, or houses on which creditors, successors, or recorded titles still exist. The example assumes that every legally recognizable link to former owners has been lost.

The situation could also arise beyond our planet. A human expedition reaches a habitable world, establishes the first settlements, and discovers an immense expanse of land available for occupation. No one yet owns a parcel, no one can produce a prior deed of sale, and no chain of title exists to establish to whom each area belongs.

The same problem arises in both scenarios: someone will have to establish the conditions under which land without an owner becomes someone's property.

The immediate reaction is often to assign that task to the State. The authority controls the territory, divides the land, determines parcel sizes, and hands it over to the new inhabitants. The procedure seems inevitable because it offers an orderly answer regarding a limited resource over which conflicting claims will arise. That answer conceals several different acts under a single description.

First, the State declares itself the owner of all available land. Then it decides how to divide it. Finally, it gives each parcel to those who meet the conditions it has chosen. These operations are usually presented as inseparable, although each must be evaluated independently.

The State does not acquire a right to the land by arriving first, controlling force, or representing the population. Discovering a territory is not the same as owning it. Nor does discovery make it

the collective property of a society or grant its rulers the power to dispose of it.

State appropriation does not pass the theorem. Land can be demarcated and others excluded from it, while use by one person prevents another from using the same land simultaneously for an incompatible purpose. It is an excludable, rival good. NE and NR are not satisfied. There is no need to assess CV.

The same applies to allocation. The State could award millions of hectares to five well-connected families, divide them among ten thousand settlers, distribute them by lottery, auction them, or allot an identical area to every adult. These mechanisms may differ enormously in economic, political, and social terms, but none changes the nature of the resource being allocated. Land remains rival and excludable.

So far, the result seems to leave a practical vacuum. If the State may neither appropriate nor distribute land, how do we determine who acquires each parcel?

Property rights can originate through actual occupation. Each person could claim an available area, register the claim, and consolidate title after using it for a specified period. Maximum sizes, public-notice requirements, abandonment conditions, and rules for resolving overlapping claims could also be established.

This model resembles the homesteading principle found in several theories of property. It does not, however, require accepting a stateless society or rejecting the state functions that have already passed the theorem.

In this book we have already identified courts, police, and defense as examples of functions that pass the theorem. Once a title has been established, the judicial system can resolve disputes, a registry can document it, and public law enforcement can protect it against trespass. Nothing in this case requires abandoning those functions.

Yet someone must establish what counts as occupation, how much land a person may claim, how long they must use it, which of two claimants has priority, and when land becomes available again. Even the seemingly simplest rule contains decisions that affect the outcome.

"Each adult may acquire up to 160 hectares, and the first valid claim takes precedence" is one criterion. "Ownership belongs to whoever cultivates the land for five years" is another. Lottery tickets, auctions, residency, investment, or combinations of these factors might also be used.

That act must not be confused with appropriating or distributing the resource. The good produced in this case is not a parcel of land. It is a common rule for determining when title to something unowned comes into existence.

A legal rule can be applied to multiple people without being depleted. Using it to recognize one settler's title does not prevent the same rule from being used in another territory. It is non-rival.

It is also non-excludable. To fulfill its function, the mechanism must govern all claims within the same territorial system. It would not be enough for everyone to choose the principle most favorable to them and demand that others recognize it.

One person might claim that arriving first is sufficient. Another might demand cultivation. A third might claim everything they can defend. Someone might allow unlimited areas, while someone else imposes a strict maximum. Each system could declare different owners of the same land.

The coexistence of incompatible criteria would not produce an ordinary variety of services from which consumers could choose. It would create contradictory titles over a resource that allows only one holder for each exclusive use. Two people cannot choose different rules while both retain exclusive ownership of the same parcel.

Finally, voluntary provision faces an unusual obstacle here. The interested parties may agree on a method while their claims are compatible, but what happens when they cannot? Someone claiming land under one rule has no incentive to accept another that harms their claim. Private arbitration agreements can resolve disputes among those who accept them but cannot guarantee that third parties will submit their claims to the same criterion.

The rule must exist before the claim, be known to participants, and provide a framework applicable to all equivalent cases.

The Collapse Test focuses on the analysis here. The incompatibility persists over the period in which claims must be resolved, extends to agreements that depend on each claimant voluntarily accepting a criterion that may undermine their own claim, and arises from the very structure of the conflict: each claimant has incentives to favor the rule that recognizes their title.

Under this definition, establishing the criterion may pass all three conditions of the theorem. The rule is non-rival, must operate without exclusion within the legal order, and its voluntary provision may collapse when different rules assign the same land to different people.

Returning to the starting point, this does not make the State either an owner or a distributor of land. The tolerated function consists solely in producing the common rule by which private individuals acquire title.

The State can determine how ownership originates without acquiring the land itself. When an authority distributes land, it acts as an owner. When it establishes a general criterion, it creates a legal institution. In the first case it hands over something that does not belong to it. In the second, it defines the conditions under which a person may appropriate something that still belongs to no one.

If the State were the owner, it could reserve areas, sell them, use them as collateral, charge for their transfer, or refuse to transfer them. Under the model examined here, it has none of those powers. Its authority is limited to producing and applying a rule of acquisition.

Once the rule exists and individuals acquire parcels under it, previously admitted institutions come into play. Registries document titles, courts resolve disputes, and police protect each owner against aggression. None of these tasks requires the State to have previously owned the territory.

But the fact that the function passes the theorem does not make every rule tolerable. The rule may be general and impersonal or, in practice, become a way of distributing land to those who control political power. The exception covers the admitted function, not any content imposed in its name.

Closing of Test II

It is confirmed that categories such as natural monopoly, strategic activity, or high concentration are not enough to open an exception. The lighthouse also shows that even a classic example of a public good is not enough, by itself, to pass the standard.

Globally significant monetary infrastructure and the stability of the financial system are among the strongest cases in this second test. Certain global environmental problems and preservation of industrial capability against a military threat may also approach the standard, although their result depends on the Collapse Test. The same is not true of a national currency, a particular financial company, an industrial product, or an activity declared strategic: the result depends on the function examined, not the label used to describe it.

Basic scientific research remains in a gray area. Its benefits may satisfy NE and NR, but it remains to be determined whether voluntary provision can sustain it persistently at the required scale.

Emergencies do not change the general nature of goods either. Immediate medical assistance to an unconscious person may constitute a specific emergency exception but does not change the theorem's conditions or turn medicine into a general state function. Likewise, the difficulty of evaluating complex products does not require concentrating that task in a single authority.

Discrimination, repugnant agreements, and other deeply disapproved conduct remain outside the theorem when there is no fraud, aggression, or harm to third parties. Moral disapproval does not, by itself, turn voluntary conduct into an exception.

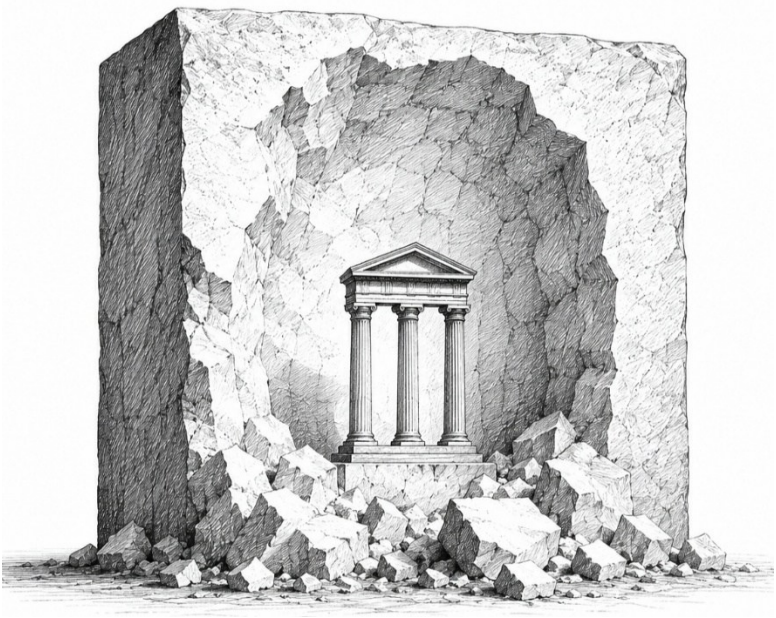
Unowned land shows how much depend on precisely defining the function being examined. State appropriation or distribution of territory does not pass the theorem. A common rule for determining how title originates in the face of incompatible claims, by contrast, may pass.

The second test adds a distinct conclusion: the result depends on precisely defining the function under examination. Exceptions exist, but they remain few, narrow, and tied to the specific case that satisfies all three conditions of the theorem.


Pass
Global monetary infrastructure
Financial system stability
Global environment
Preservation of strategic capacity
Common rule for ownerless land
Do not pass
Monopolies, cartels and dumping
Domestic monetary monopolies
Drug approval and verification
Lighthouse
Cultural heritage
Semiconductor production
Discrimination and repugnant agreements
State appropriation or distribution of ownerless land
Gray area (or debatable)
Basic scientific research

6

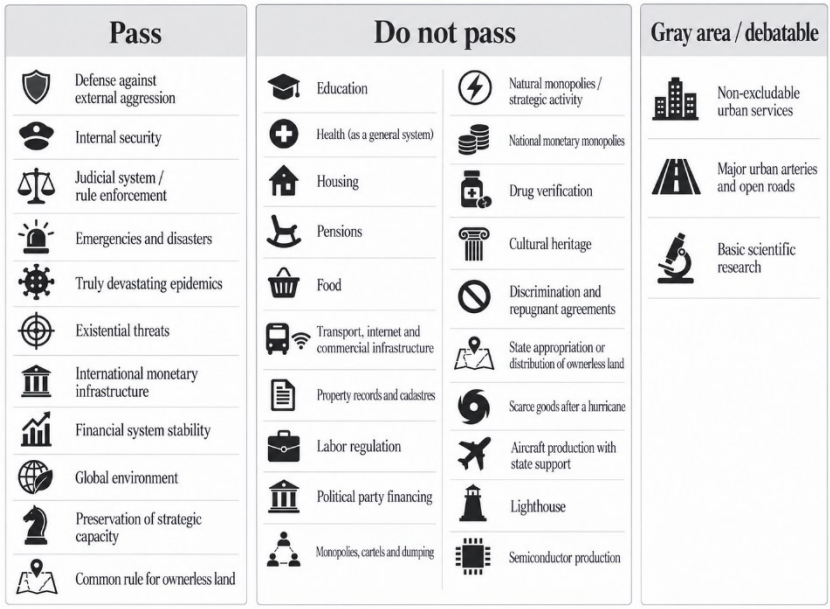
The New Standard



APPLYING THE THEOREM yields consequences that extend far beyond the examples considered in the preceding chapter. It changes not only how we evaluate each function of the State but also how we must reconsider many of the debates and explanations that dominate contemporary political discussion.

The size of the State, the powers of different levels of government, the scope of exceptions, gray areas, and even familiar objections take on new meaning when viewed through the standard developed in this book.

The test cases examined do not exhaust every function that might pass. The most representative have been selected. Readers can identify others by applying the same standard.



Local Governments

Whatever they may be called—municipalities, cities, communes, departments, provinces, or any other subnational level, this section

concerns functions traditionally assigned outside the central administration. If the theorem is correct, many of these powers no longer pass the standard.

Primary education, waste collection, sanitation, urban maintenance, shelters, public spaces, and even much infrastructure no longer pass the standard. Nothing prevents these activities from being provided through voluntary arrangements wherever that is possible.

This does not mean every local function is excluded. Large-scale flood control, certain stormwater drainage systems, some open road networks, emergency coordination, and certain health problems involving epidemics may be stronger candidates, provided they pass the first two conditions and the third is established through the Collapse Test.

More difficult functions also arise. Cadasters, property registries, and arbitration of local disputes depend on many people sharing the same references and procedures. Their usefulness depends precisely on that coordination. Determining whether these activities pass the standard requires more careful analysis than in other cases.

Even if some of these functions passed the test, the resulting municipality would remain very different from today's. A structure conceived to perform a limited set of functions ends up regulating traffic, commerce, construction, public events, advertising, licensing, land use, operating hours, and permits. In many cases it even builds stadiums, runs theaters, operates television or radio stations, and undertakes activities that have little to do with the reasons its existence might be tolerable.

The Moral Objection

The theory reaches one of its limits here. Some people, for whatever reason, cannot obtain what they need to survive. It may be a

child, someone with a disability, a person who has suffered a tragedy, or even someone who has made poor decisions.

I believe that a decent society cannot remain indifferent to the suffering of others. Compassion, solidarity, and mutual aid are among the most valuable virtues we can cultivate. Requiring an exceptional standard for coercion does not mean denying a duty to help.

My rejection of coercion rests on a negative duty: no one should be compelled to act against their will except under exceptional circumstances. But I also recognize a positive duty to aid someone facing extreme need. That someone ought to be helped does not, by itself, determine who may be compelled to bear the burden.

A child who needs a lifesaving procedure and whose family lacks the resources brings this conflict to its extreme. Allowing that child to die when the child could be saved is unacceptable to me. Imposing the cost on third parties creates different harm. The gravity of the first does not erase the second.

The theorem does not absorb this case. Urgency may prevent help from arriving in time, but it does not turn an operation, food, or shelter into non-excludable, non-rival goods. If intervention is admitted, we must acknowledge that it arises from a different exception.

In an extreme case involving grave and immediate danger, lack of personal resources, and no voluntary alternative capable of acting in time, I would accept state intervention as a last resort. The State could finance indispensable assistance without taking over general provision of the activity. I would rather tolerate this limited concession than accept a consequence I consider intolerable.

Its scope must end there. An intervention intended to prevent irreversible harm cannot, for that reason alone, become a general

principle of provision or an opening for the progressive expansion of power.

Institutional bootstraps also reappear here. Observed dependence is not independent evidence that voluntary alternatives were unviable if the state structure itself helped weaken or displace them.

Resorting to the State does not eliminate the tragedies underlying this concern either. Governments manage scarce resources, establish priorities, and leave needs unmet. Public financing does not guarantee food, shelter, medicines, or treatments in every case.

A society organized through voluntary arrangements could develop foundations, solidarity funds, and other forms of assistance capable of addressing many such situations. I cannot demonstrate that they would always be sufficient. It would be easy to pretend to possess a certainty I do not have. I would rather acknowledge that limit, uncomfortable as it may be, than defend a conclusion I cannot prove.

Preserving limits on power without remaining indifferent in extreme cases and providing aid in extreme cases without turning the exception into the rule. That remains the challenge.

Why Doesn't It Exist?

One question arises almost inevitably. If a considerably freer society is genuinely possible, why has it not appeared anywhere?

The question is powerful because it does not challenge a particular case or a detail of the theorem. It goes directly to the whole. After all, if a certain form of social organization were truly superior, it would seem reasonable to expect it to have appeared frequently throughout history. The absence of contemporary examples appears to indicate a flaw in the reasoning. For many, that observation is enough to close the debate.

But the conclusion does not follow from the premise. The fact that an institution is widespread does not establish its legitimacy, just as its absence does not establish its impossibility. History is full of nearly universal practices that survived for centuries without that being sufficient reason to preserve them.

For much of the nineteenth and early twentieth centuries, States performed far fewer functions than they do today. Many of those functions would not pass this standard either, but the overall reach of state power was much closer to what is proposed here.

A common response is that those societies were also much poorer and that economic growth made expansion inevitable. Some argue that expansion itself made development possible. But if a State that controlled only a fraction of today's resources could govern a society that was vastly poorer, with worse communications, lower productivity, lower educational attainment, and infinitely inferior technological capabilities, then the State's continuous expansion ceases to look inevitable.

Many tasks that required vast bureaucratic structures a century ago can now be performed with a fraction of the resources. Society has become exponentially more efficient at transmitting information, coordinating people, verifying identities, moving money, and organizing complex activities. Prosperity alone does not establish that the State must absorb an ever-larger share of resources. That claim must be proved, not assumed.

If consistent application of the theorem could lead to a State much smaller than those existing today, the possibility may be uncomfortable, but it is not refuted because few countries—or none—have yet adopted it. New ideas, and even forgotten ones, are rarely embraced immediately. Their absence may reflect the strength of inertia rather than their falsity.

After the Theorem

The three conditions prevent us from accepting or rejecting the State as a whole. Each function must pass the test separately. The theorem does not lead to one institutional design; instead, it establishes a boundary within which very different arrangements may emerge according to the circumstances of each society. Exceptions remain precise: exceptions. When a function satisfies all three conditions, responsibility for guaranteeing it falls to the State. That responsibility does not automatically make every coercive arrangement adopted to sustain it tolerable.

Precisely defining the function being assessed also matters. The same situation may involve different activities and produce opposite results. The need for a common criterion does not make appropriation of the resource to which it applies tolerable, just as admitting protection of a right does not give the State unlimited power to determine its content. Grouping distinct acts under a general label may conceal precisely what the theorem seeks to separate.

The first two conditions apply to the benefit to be sustained, not to each resource used to produce it. A function may satisfy them even if the means necessary to produce it do not share those characteristics. The third examines something different: whether voluntary provision can sustain its function over the relevant period. The Collapse Test determines this through temporal persistence, institutional breadth, and structural attribution.

When circumstances change, conclusions change too. A small, isolated community faces different problems from those of a large continental economy. A power with global responsibilities confronts challenges that simply do not arise for most countries. No list of exceptions is definitive.

One of the most uncomfortable implications for modern debate is that the absence of provision is not sufficient reason. It may

happen that no one is willing to provide a particular activity. That does not create a right to compel others to supply or finance it. Nor is the opposite enough: isolated or partial voluntary provision does not prove that it can sustain the function. What matters is whether the difficulty of sustaining the function persists over the relevant period extends to plausible voluntary alternatives and arises from the incentives inherent in the case.

The theorem does not establish Lockean natural rights. Even so, institutions commonly associated with protecting life, liberty, and property are among the functions most likely to pass the standard, provided the third condition is also established through the Collapse Test.

The convergence does not seem accidental. Non-excludability rules out benefits that can be individualized; non-rivalry rules out those whose use materially reduces what is available to others; and the collapse requirement excludes functions that can be sustained through voluntary provision. Those that remain therefore tend to produce benefits of a general character.

Nor does the resemblance to a basic rule-of-law State appear coincidental: the theory did not begin with that model.

Modern political debate often focuses on the size of the State: how much it spends, how many resources it manages, and how many people it employs. The discussion thus seeks some middle point, as if a particular scale could solve the problem by itself.

There is no magic percentage. A State that consumes a relatively small share of society's resources may perform functions that fail the standard. Conversely, a considerably larger State might concentrate much of its activity in areas that do pass it.

This does not mean size is irrelevant. Expansion generally brings greater resources, more bureaucracy, and a stronger capacity to exercise coercion. All of this is a consequence of an earlier problem, not the main one.

Nor does the theorem claim to resolve every controversy automatically. Some examples examined were ruled out relatively clearly. Others remain less well defined. Some situations continue to permit reasonable disagreement.

The existence of these gray areas should not surprise us. Social reality is too complex to expect any general principle to produce perfectly sharp boundaries. Such complexity makes it likely that cases will arise in which the boundary is no longer obvious. As we saw in the chapter on the moral problem, every exception carries the risk of a slippery slope.

Once an exception is admitted, the question arises of where it ends. Certain capabilities intended to defend society against threats may be among the strongest candidates. It is much harder to establish precisely how far that function extends and where different powers begin. No political theory can entirely eliminate this uncertainty. The theorem has its own limits.

The criterion raises the standard that every function must meet to fall under state responsibility as an exception to the Presumption of Liberty. Many traditionally accepted powers fail that filter.

At first glance, a theory that denies legitimacy to coercion exercised over someone who has not violated others' rights would seem inevitably to lead to a Rothbardian society. That is indeed the philosophical premise of this work: if no one acquires authority over another merely by belonging to a political institution, the State has no moral legitimacy of its own.

The theorem, however, separates that premise from a necessary anarcho-capitalist conclusion. Some functions fall under state responsibility when they exhibit effective non-excludability, relevant non-rivalry, and persistent collapse of voluntary provision established through the Collapse Test. That responsibility does not

make the State legitimate or, by itself, authorize any particular intervention.

The resulting structure might resemble a State close to Nozick's, though reached by a different path. It does not arise from recognizing special rights in the State or assigning it original authority, but from admitting a narrow set of exceptions permanently subject to proof. That set might even extend beyond Nozick's minimal State in particular functions without abandoning the initial presumption against coercion.

Nor is this a variation on classical liberalism. The fact that some of its functions coincide with those defended by that tradition does not mean their foundations are the same. The State is never legitimate.

The State is no longer a political ideal but an institutional technology of last resort. Its responsibility is confined to functions that jointly satisfy the theorem's three conditions.

If a voluntary institution or technological advance succeeds in sustaining the same function reliably in the future, the exception would disappear.

The disappearance of the exception would be precisely the confirmation that it is no longer needed.

Chapter Conclusion

The theorem requires assessing each state function separately and defining precisely which activity is to be tolerated. Grouping distinct powers under one name may conceal situations that should be examined independently.

Many local-government functions do not pass the test. Education, waste services, urban maintenance, and public spaces do not acquire a special nature merely because a municipality administers them. Certain tasks involving floods, emergencies, or health coordination may become an exception, but the local government

that emerges from this criterion would be much more limited than the one we know today.

Nor does the theory eliminate every dilemma concerning emergency aid. In extreme cases of grave and immediate danger, lack of personal means, and no voluntary alternative capable of acting in time, a last-resort state intervention may be tolerated even when the activity involved does not pass the theorem. The exception concerns the specific rescue, not the broader activity of which it forms a part. Financing an urgent medical intervention does not make healthcare a general state function; providing food or shelter in the face of immediate danger does not make those activities permanent state powers either.

The size of the State does not determine the outcome. A small State may perform functions that fail the test, while a larger one might concentrate on activities that pass it. The absence of voluntary provision is not enough to admit an exception, just as its occasional existence is not enough to rule one out. In gray areas, the Collapse Test determines whether the third condition has actually been satisfied.

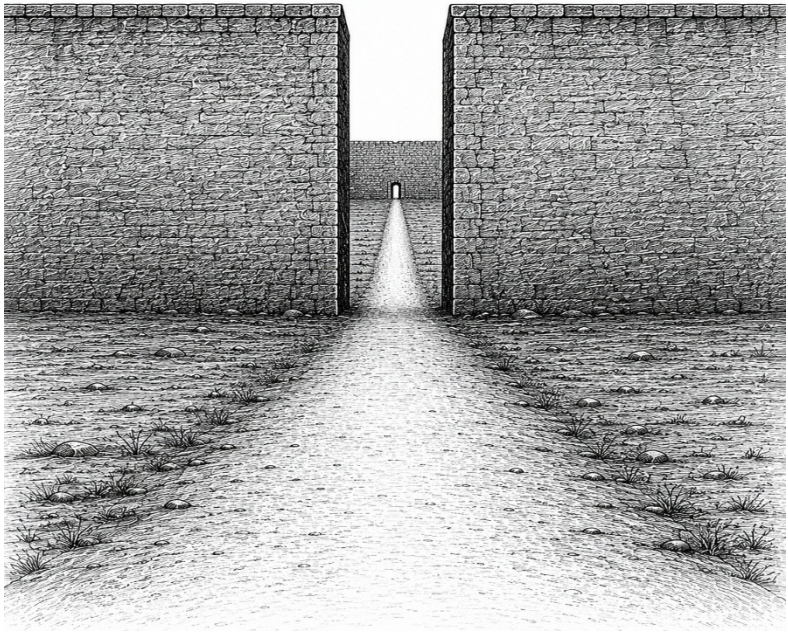
Nor is the resulting institutional structure fixed in advance. Circumstances change, new technologies appear, and previously unavailable forms of cooperation emerge. A power tolerable today may cease to be so tomorrow if the conditions that allowed it to disappear. The current absence of a society organized under this criterion does not demonstrate its unviability.

The presumption remains on the side of liberty. Every power must pass the test upon admission and continue passing it while it exists. No exception acquires a permanent entitlement, and no accumulation of extreme rescues can turn into a general authorization.

The State is therefore reduced to an institutional technology of last resort: it enters only where the exception admits it and withdraws when the conditions supporting it disappear.

7

The Second Burden of Proof



THE MINIMAL TOLERANCE THEOREM establishes the conditions under which a function may overcome the Presumption of Liberty.

Once that threshold is reached, the State becomes its guarantor: it must ensure the function's existence, continuity, and availability under the terms that justified its admission.

That guarantee still leaves a distinct decision open: who performs the function. The State may produce it through its own structure or entrust all or part of its execution to external organizations, in both cases retaining the responsibility already assigned to it.

If a function continues to pass the first filter, it retains a state component: its guarantee.

The second filter may reduce direct production to a minimal core and even leave nearly all execution to third parties, but the State remains answerable for the function's existence, continuity, and availability.

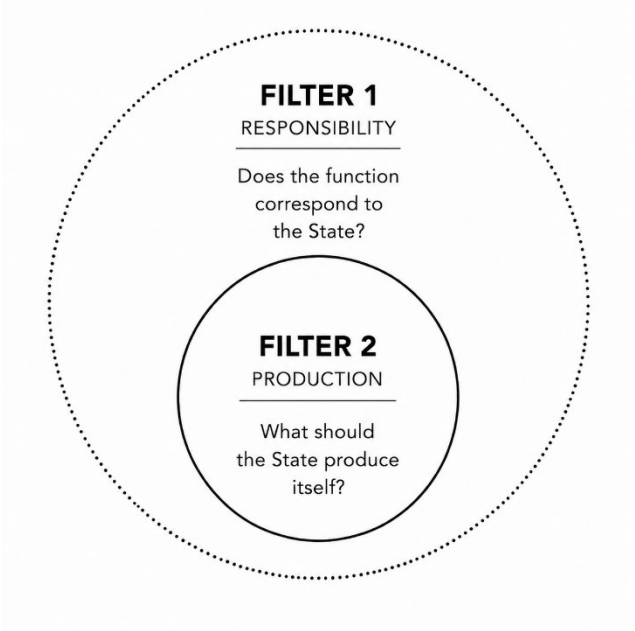
This gives rise to the corollary: responsibility and production are separate decisions. The sequence therefore contains two filters:

Filter 1 — Responsibility: does the function belong to the State?
Filter 2 — Production: which parts must the State produce directly, and which can be performed by third parties under its responsibility?

The first limits the perimeter; the second, the depth. A function can fall entirely within the State's area of responsibility while being performed in whole or in part by external organizations.

Presumption retains the same direction at both levels: first, admitting the function must be justified; then, its direct production by the State must be justified.

The burden of proof belongs to power when it seeks to enter and belongs to power again when it seeks to produce.



Principle of Separability

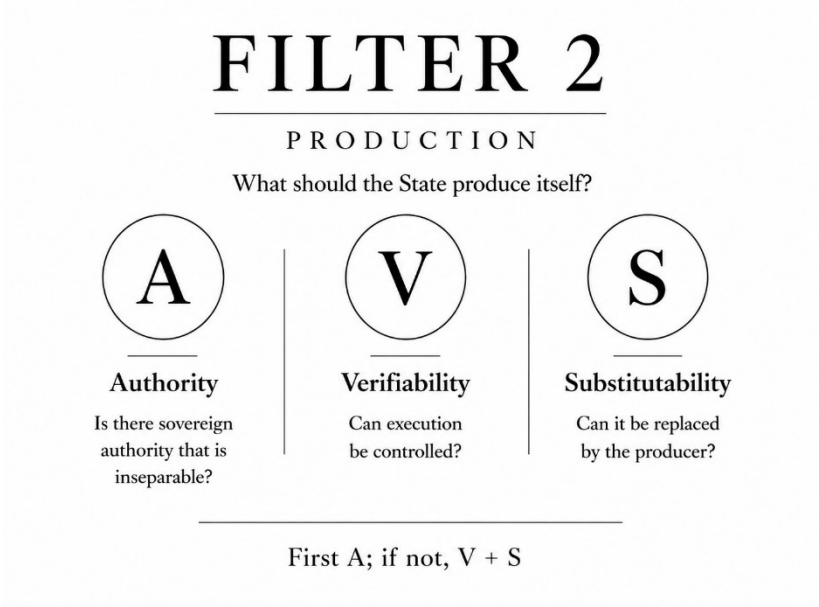
A state function may combine sovereign decisions with productive activities of a different nature. The relevant unit thus ceases to be the agency and becomes the activity: assigning a function to the State to determine who answers for it, but it remains to be established how much of its execution must stay inside the administration.

This architecture may be understood as a vertical disintegration of the State. The guarantee remains unified, while the different stages needed to fulfill it may be distributed among specialized producers. The fact that a function belongs to the State no longer automatically draws the entire production chain into government.

To draw the second filter's boundary, we need a criterion capable of determining which activities may be performed by third parties and which must remain within the State.

That criterion is the Principle of Separability: an activity may be executed externally if doing so preserves the guarantee over the function intact.

Its structure is sequential. Authority comes first; only when it can be kept separate from execution do verifiability and substitutability come into play.



The Second Filter Rule

Authority comes first because certain activities incorporate, within their very execution, the power to impose sovereign decisions. Sentencing someone to prison, ordering an arrest, or authorizing the use of military force changes liberty, rights, or bodily integrity through powers the recipient must obey.

The boundary runs through that decision, not everything surrounding it: manufacturing a weapon, maintaining a vehicle, or developing a judicial platform belongs to a different level from ordering its use, arresting someone, or issuing a sentence. When

authority is inseparable from the task, a presumption favors state execution.

When sovereign power can remain within the State while another organization carries out the activity, a second stage begins in which verifiability, and substitutability must be examined together.

Verifiability establishes whether whoever retains the guarantee can define with sufficient precision what is expected and then verify delivery. An aircraft can be subject to technical specifications; an information system can be held to availability, security, and integrity standards; a maintenance service can be governed by performance levels, schedules, and operating conditions. External execution is viable when the service can be controlled without recreating within the administration all the capability required to perform it.

The relevant threshold is sufficiency. No organization can fully observe the effort, decisions, or errors of everyone who works within it, so requiring perfect observation would make contracting of any kind impossible. What matters is retaining enough information to enforce compliance, detect deviations, and protect the function under guarantee.

Separation loses its purpose when supervising a supplier requires duplicating staff, knowledge, systems, and operational capabilities on a scale like that required to perform the task directly. The contracting organization then ends up reproducing internally what it intended to keep outside.

Substitutability examines another aspect: whether the provider can be replaced without compromising continuity. A service may be perfectly verifiable yet still create dependency when a supplier controls the data, technology, spare parts, assets, or knowledge indispensable to continued operation.

The ability to exit must remain open. Accessible information, transferable knowledge, compatible standards, clear rights over

critical assets, and conditions that permit transfer of operations sustain a relationship in which changing producers remains possible. Temporary contracts, periodic competition, and the presence of multiple bidders may reinforce that position, although none replaces a genuine capacity to switch suppliers.

When that exit disappears, institutional *lock-in* arises. The provider remains legally outside the State but acquires an indispensable position in sustaining the function, leaving the guarantor dependent on an organization that has become extraordinarily costly to replace. Private ownership offers little when the ability to switch ceases to operate.

The Logical Formulation

The second filter can be formalized briefly:

A: the activity contains inseparable sovereign authority
V: its execution permits sufficient verifiability
S: the producer can be replaced without compromising the function

$\mathbf{A} \rightarrow$ presumption of state execution

$\neg\mathbf{A} \wedge V \wedge S \rightarrow$ presumption of external execution

If V or S fail, that is not enough to conclude that the State must execute the activity:

$\neg\mathbf{A} \wedge (\neg V \vee \neg S) \not\Rightarrow$ state execution
If V or S fail, state execution does not follow automatically either. Before bringing the activity into the public apparatus, one must examine whether it can be divided, whether better standards would allow performance to be monitored, whether data can remain

accessible, whether certain assets should remain under state control, whether multiple suppliers could reduce dependence, or whether another design would keep the capacity to switch open. Direct production gains a stronger justification only when these alternatives prove insufficient to preserve the function's guarantee.

The sequence avoids turning this chapter into a second theorem. The first filter uses three cumulative conditions to establish whether a function falls under state responsibility; the second starts from that decision and seeks the productive scope necessary to fulfill it.

The Production Boundary

In policing, decisions to arrest, search, or use force contain coercive discretion and remain within the state core. Fleet maintenance, communications, much of the technological infrastructure, and certain technical services lack that power, so they proceed to the filter's second stage. When their performance can be monitored and the supplier can be replaced, the presumption favors external execution.

This distinction avoids an overly broad classification under which "policing" would have to be produced entirely by the State. What must remain inside is the activity whose execution incorporates sovereign authority; the others are examined on their own characteristics.

In defense, command and decisions concerning the use of force follow the same rule. Manufacturing aircraft, maintaining equipment, communications, and logistics carry no sovereign power in themselves, so their placement depends on verifiability and substitutability.

An aircraft may be manufactured externally when the State can verify that it meets the required specifications and retains sufficient capacity to work with another supplier. If the manufacturer

controls software, spare parts, data, and know-how to the point that replacement becomes unviable, substitutability fails; the initial response should be to reduce that dependence through rights over information, compatible standards, divided contracts, or alternative sources, rather than automatically turn the State into an aircraft manufacturer.

In justice, issuing a binding judgment involves sovereign authority, while developing the platform used to manage case files, maintain buildings, storing information, and providing technical support belonging to a different level. These activities can remain outside when the service can be monitored, and judicial continuity can be preserved through a change of operator.

The three examples show that the boundary cuts across activities rather than entire sectors. Policing, defense, and justice remain fully under state guarantee while significant parts of their execution may be distributed outside the administration.

Nor is that boundary fixed forever. Technology may make what previously required for internal production verifiable; new suppliers may reduce dependence; common standards may facilitate transitions; and a different division of tasks may separate authority and execution where they previously appeared united. The reverse happens when alternatives disappear, a platform concentrates critical information, or an activity acquires sovereign powers that were formerly outside it.

For that reason, the Principle of Separability has no permanent list of tasks reserved to the State. Its application depends on the present characteristics of each activity and the institutional ability to preserve authority, control, and exit.

An admitted function no longer automatically brings with it bureaucracy, an organization, and an entire production chain.

State responsibility extends as far as the guarantee of the function requires; direct production extends only as far as separating it would prevent that guarantee from being fulfilled.

The first filter determines what belongs to the State. The second determines how much State is necessary to do it.

The Result of the Two Filters

The testing chapters left a small set of functions under state responsibility. Among the clearest cases are territorial defense, general security, the judicial system, major emergencies, and devastating epidemics. To observe the effect of the second filter, we can also include the gray areas, treating them for this purpose as though they had passed the first.

The preceding examples show that even within the clearest functions, much of the execution can remain outside the state apparatus. The same separation applies to the other cases. A general warning system may remain under state guarantee while sensors, communications, and technical operations are provided by third parties. An epidemic response may require decisions of authority while laboratories, production, logistics, and medical services remain externally executed. The same logic may extend, according to their characteristics, to functions in the gray area.

The result of both filters is cumulative. The first reduces the functions under state responsibility; the second further reduces what the State needs to produce directly. The guarantee remains governmental while the first filter's conditions persist; execution may shift extensively to third parties.

Chapter Conclusion

Passing the first filter makes the State the guarantor of a function, but that decision does not carry with it an obligation to produce

every activity needed to fulfill the function. This is where the second burden of proof begins: justifying how far the State's own structure must extend.

The Principle of Separability draws that boundary sequentially. When a task contains inseparable sovereign authority, there is a presumption in favor of keeping it within the State. Outside that core, external execution takes priority when performance can be monitored and the provider can be replaced without compromising continuity. If either capacity fails, a different way of organizing the activity should first be sought before bringing it into the administration.

The boundary runs through activities, not agencies, and may shift with technology, markets, and the available institutions. A function may contain a small core of authority alongside numerous tasks performed outside the state structure without the State abandoning what it must guarantee.

The State is thus limited twice: first in the functions under its responsibility and then in what it needs to produce to fulfill them. The first filter defines the perimeter; the second, the depth.

The Presumption of Liberty does not end when a function falls under state responsibility. It remains within the exception and demands a new justification before expanding the State's productive apparatus. The burden of proof belongs to power when it seeks to enter, again when it seeks to produce, and remains on its side for as long as the exception continues.

WHAT REMAINS AFTER THE TWO FILTERS

	Function	What remains in the State	External execution
PASS	Defense against external aggression	Command and use of force	Manufacturing, logistics, technology
	Internal security	Detention and coercion	Fleet, support, communications
	Judicial system / rule enforcement	Binding decision	Software, records, support
	Emergencies and disasters	Coordination and authority	Sensors, logistics, operations
	Truly devastating epidemics	Coordination and mandatory measures	Laboratories, production, logistics
	Existential threats	Sovereign decision	Operations, support, technology
	Global monetary infrastructure	Basic rules and guarantee	Technical operations, infrastructure
	Financial stability	Systemic framework	Infrastructure and services
	Global environment	Coordination and agreements	Monitoring and implementation
	Preservation of strategic capacity	Definition and guarantee	Production, investment, R&D
	Common rule for unowned land	Common criterion	Registration and support

	Function	What remains in the State	External execution
GRAY ZONE / DEBATABLE	Non-excludable urban services	Rules and coordination	Operations and maintenance
	Major urban arteries and open roads	Continuity and rules	Construction and operations
	Basic scientific research	Framework and guarantee	Research and management

In the gray zone, the second filter is applied assuming the first has been satisfied.

Act Three

The Consequences

8

The State as a Free Rider



STATE POWER TENDS TO ACCUMULATE. Every new power creates beneficiaries, structures, and resources with an interest in preserving it. What once expanded the boundaries of power eventually serves as the starting point for another expansion.

Another element helps explain why this can continue for very long periods without producing an immediate rupture. The State operates on societies capable of adapting. Every burden successfully absorbed leaves behind a productive base that is still functioning. Coercion makes it possible to impose the burden. The resilience of those who bear it makes it possible to preserve it.

Imagine once again a community that finances its defense voluntarily. One inhabitant discovers that they can stop paying and still retain practically the same benefit.

On the State's side, a related dynamic can develop. A society produces, invests, innovates, and adapts through millions of decentralized decisions. The State adds a burden, and those activities continue. It adds another, and once again finds a functioning economy. Citizens reorganize their decisions, businesses adjust costs and margins, and some investments seek alternative destinations.

That continuity may facilitate the next burden. This dynamic may be called *State Free Riding*.

The free rider can stop contributing because others continue to contribute. The State can increase the burden because others continue to produce. The resemblance lies in the ability to sustain their conduct while others continue performing the activity that makes it possible.



Around 1229, a debate attributed to Ögedei Khan's court clearly illustrates a precondition of this dynamic. In response to a proposal to eliminate the inhabitants of northern China and turn the region into pastureland, Yelü Chucai is said to have argued that preserving and taxing them would be more advantageous. The reason was fiscal: a living, stable, productive society could generate regular revenue; an empty territory could not.

The episode condenses the shift from one-time predation to recurrent extraction. Power discovers that preserving what it depends on is in its own interest.

An additional step appears when those bearing the demands adapt, continue producing, and, through that very continuity, facilitate the next demand.

The Paradox of Resilience

The State needs a productive base to support it. Tax collection requires income, debt rests on future resources, and regulations presuppose ongoing activities.

Oppenheimer had already noted that political appropriation presupposes an economy capable of producing first. What matters here is an additional step: that production may continue after each intervention and facilitate the next.

Some state functions may help sustain economic activity itself. The dynamic at issue arises when producers manage to adapt to new demands and keep the flow of income, investment, and production on which the State depends running.

That resilience makes the effects less visible. The company that remains open can be seen; the abandoned investment, postponed project, and competitor that never emerged remain out of sight. Bastiat becomes relevant again: we can hardly observe what never happened. An economy may even continue growing while productivity, technology, or accumulated capital offsets part of the new burdens.

Here the paradox emerges: the stronger an economy is, the more it can endure before sending a signal strong enough to stop further demands. What enables it to resist may, for a time, widen the scope for imposing further burdens.

Continuity also produces information. That an economy continues operating after a small demand tells us little; that it does so under a substantial burden says more about its ability to adapt. This signal may enlarge the room those in power believe in the next

decision, even though it reveals nothing about the investments, businesses, or trajectories absent from the observed outcome.

An absorbed burden also changes the starting point. Previously it had to be approved; afterward it becomes part of the inherited structure. Maintaining it may require only continuity, while reversing it entails dismantling established commitments, structures, and interests. The next decision thus begins from a higher baseline that is no longer presented as new.

Each intervention is often evaluated in isolation against the economy's full capacity. A small burden may seem negligible and produce few visible effects, even though it adds to all previous burdens. Decades later, the accumulated structure may be very different without any single decision having marked a breaking point.

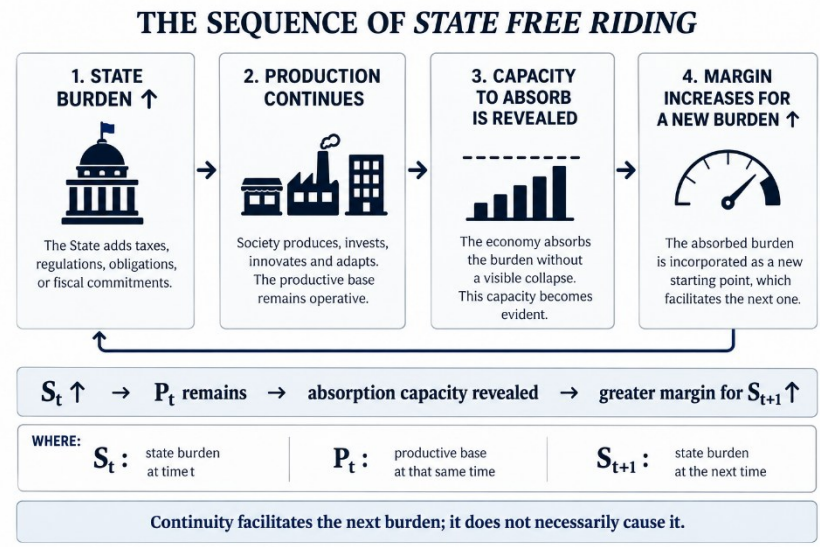
The sequence can be summarized as follows:

$$\mathbf{S_t \uparrow \rightarrow P_t \text{ is maintained} \rightarrow \text{absorption capacity revealed} \rightarrow \text{greater room for } S_{t+1} \uparrow}$$

Where:

$\mathbf{S_t}$: accumulated state burden at time t.
$\mathbf{P_t}$: the productive base at that same time.
$\mathbf{S_{t+1}}$: accumulated state burden at the following moment.

S encompasses taxes, regulations, obligations, and fiscal commitments as a conceptual category, without assuming they can be reduced to a common measure. The arrows describe a facilitating sequence, not a necessary relationship: the fact that the productive base has borne one burden may create room for another, without implying that the latter must occur.



Sweden offers a useful example precisely because it avoids a simplistic reading. For decades it combined high taxation with an advanced economy and competitive firms. After the crisis of the early 1990s, it introduced tax and regulatory reforms, liberalized sectors, and expanded competition; some of these reforms were later associated by the OECD with productivity improvements. Its experience shows both sides of the dynamic: a strong economy can sustain heavy burdens for a long time, while political and institutional limits can contain or reverse them when their effects become sufficiently important.

Switching suppliers is usually straightforward; leaving a jurisdiction may require relocating a company, selling property, changing jobs, or reorganizing an entire life. Informality, tax evasion, capital relocation, and reduced activity offer partial exits, all of them costly. Coercion thus makes it possible to impose new demands while the resilience of those who bear them delays the appearance of a signal strong enough to stop them.

The Objections

Brennan and Buchanan, with the fiscal Leviathan and *fiscal illusion*; Wagner, with the relationship between development and public spending; Niskanen, with bureaucratic incentives; Higgs, with the *ratchet effect*; Olson, with his *stationary bandit*; and Weitzman, with the *ratchet principle*, all explore related territory.

Weitzman comes especially close to the idea that revealed capacity may increase future demands but describes a principal-agent relationship. *State Free Riding* points to a different dynamic: decentralized adaptation of the productive base to successive state burdens. It does not require government to maximize revenues, burdens to be barely visible, a crisis to exist, or anyone to calculate how much it is convenient to extract. What distinguishes it is that the continuation of activity after absorbing one burden may facilitate the next.

This also marks the difference from simple extraction. The dynamic depends on the productive base continuing to operate. If an intervention sufficiently increases that capacity—through an effective judicial system or certain infrastructure, for example—the characterization loses force, because part of the cost may be offset by higher productivity.

Political consent introduces another distinction. A society may understand a measure, accept it, and value what it receives in return. That acceptance matters for moral evaluation but does not eliminate the economic dynamic: an accepted burden may also become part of the inherited structure and alter the starting point for later decisions.

The empirical challenge is greater. An economy may continue growing because the demand was small, because it generated offsetting benefits, because productivity advanced for other reasons, or because it managed to adapt at significant cost. Continued activity reveals an ability to absorb burdens but not how much that

adaptation cost or what the trajectory would have been under another structure. Evidence must therefore be sought in more concrete signals: displaced investment, informal activity, relocation, reduced business formation, the departure of capital or talent, and reforms aimed at restoring productivity. No single signal is sufficient.

Nor does the sequence necessarily lead to collapse. Its effects may appear much earlier through lower investment, slower growth, informality, or the exit of activities, while reforms, competition, and institutional limits may contain or reverse it. *State Free Riding* thus describes one possible form of state accumulation, not a universal explanation of its growth.

Resilience Does Not Authorize

The Presumption of Liberty reverses the burden of proof: every state function must meet its own standard before coercion can be tolerated. The ability to impose a measure, or even the absence of a sufficient voluntary alternative, carries no moral force on its own.

An additional conclusion follows from the same logic. A society can endure ever-greater taxes, regulations, and public structures while continuing to produce and adapt. That capacity demonstrates its strength but never turns a subsequent obligation into a tolerable exception. The Presumption of Liberty keeps the burden of proof on those exercising coercion, even when the resilience of those bearing it makes additional room appear available.

Internal state incentives favor expansion, while a productive, adaptable society continually generates the resources needed to sustain it. Both forces may reinforce each other for decades: the State finds reasons to advance and society finds ways to absorb each advance.

The paradox arises from the very virtues that enable a society to prosper. Creativity, effort, innovation, and cooperation reduce

the damage caused by restrictions and keep complex structures working. That strength may temporarily expand the space from which power can benefit.

The ability to endure what happened yesterday tells us something about a society's resilience; it says much less about how much of a burden may justifiably be imposed tomorrow.

The *free rider* can stop contributing because others continue contributing. *State Free Riding* can impose more on the system because others continue producing.

Chapter Conclusion

State growth can continue over long periods because two forces operate simultaneously. Within power, incentives encourage new powers and preserve existing ones; within society, productivity, innovation, and adaptability make it possible to absorb their effects without immediate rupture. *State Free Riding* describes that relationship: expansion finds a base that continues generating resources even after each new demand.

That resilience may conceal the accumulated cost. An economy that keeps growing demonstrates strength, but its survival says little about the opportunities left behind, the remaining margin, or the path it would have followed under different conditions. That is why the capacity to endure one intervention carries no authority to justify the next.

The Presumption of Liberty therefore returns to center stage. Every new demand remains subject to its own burden of proof, even when all previous demands have been successfully absorbed. Resilience belongs to those who produce; their ability to bear more never turns that capacity into a concession to power.

9

It Cannot Limit Itself



NO LEVIATHAN IS BORN A LEVIATHAN. Even when growth appears suddenly, it usually rests on precedents, organizations, and powers that already exist. The theorem establishes a limit. It does not guarantee that the limit will be respected. What prevents it from being moved?

Modern societies have developed numerous mechanisms: constitutions, courts, separation of powers, administrative oversight, and institutional procedures intended to prevent one authority from concentrating unlimited powers.

These institutions play an important role and, in many cases, restrain abuses that would otherwise be much more frequent. Historical experience clearly shows what happens when such restrictions disappear. But their existence does not resolve a fundamental fact: those who create the rules, interpret them, and enforce them belong to the same structure that those rules are meant to constrain.

Judge in Its Own Case

Political language often speaks of the State as though it were a unified entity with objectives of its own, capable of pursuing the general interest coherently and rationally. The State protects, regulates, invests, and resolves disputes. The formulation is convenient, but it hides one fundamental detail: the State decides nothing. Decisions are always made by people acting under incentives.

During the twentieth century, much political theory implicitly assumed that officials were driven by some permanent vocation for the common good. But if we analyze people in the market as they are—with self-interest, limited information, incentives, and constraints—why, Buchanan asked, should we assume that these very same people are transformed when they enter public office?

This does not mean that public officials are dishonest, selfish, or incompetent. Nor does it require denying the existence of

committed, well-intentioned people. It means public institutions must be analyzed in the same way as any other human organization.

Bureaucracy produces another effect. Decisions are distributed among multiple offices, departments, and hierarchical levels. Each actor controls part of the process, but few control the full result. When an error occurs, the explanation is usually found in another department, another procedure, or some previous stage of the system. Responsibility becomes diluted, weakening the incentives to correct mistakes.

When a policy fails, it rarely disappears. More often, resources are expanded, responsibilities are modified, or the result is attributed to exceptional circumstances rather than the failure being acknowledged.

Budgets, staff, influence, and prestige grow with the size of an agency, while reducing its size rarely benefits its managers. Niskanen showed that this logic applies even to officials convinced they are serving the public interest: expanding the structure also increases their power, promotion prospects, and capacity to act.

The effects of this dynamic appear in surprisingly ordinary situations. One public office requests a birth certificate issued by another. Instead of exchanging it directly, the two offices assign that task to the person completing the procedure. The situation is so common that it rarely attracts attention. Yet why does an organization need
people to act as couriers between its own departments?

The system was not necessarily designed this way. Each department follows established procedures and performs its assigned role. The organization distributes responsibilities; the citizen accumulates the consequences.

The explanation is rarely found in one especially absurd individual decision. It arises from the accumulation of procedures,

fragmented powers, and dispersed responsibilities. Each requirement may have an administrative justification, but no one faces the total cost the system imposes on those who must navigate it. What is just one more procedure for a department becomes lost time, uncertainty, and accumulated friction for the person dealing with it.

Endless lines, duplicate forms, sometimes bizarre requirements, delays eventually accepted as normal, and employees who insist they are always overwhelmed coexist with other underused departments. Under these conditions, the mechanisms for detecting errors, reallocating resources, and correcting decisions are considerably weaker than those of organizations subject to competition.

The Benevolent Disguise

The State has learned a simple but effective technique: never present itself as what it really is. Taxes are not presented as the forced extraction of resources. They are called solidarity. Regulations are not described as restrictions on production, exchange, or contracting. They arrive dressed as protection. Public enterprises are not acknowledged as monopolies that benefit a few while denying choice to everyone else. They are declared strategic, and we are told they belong to us all.

Expanding surveillance is never announced as increased control. It is sold as security. Concentrating power is not described as a loss of autonomy either. Popular sovereignty is invoked. In short, restrictions on individual liberty are rarely presented as such. They are said to make a more authentic freedom possible.

Language does not change the nature of things. It changes only how we perceive them. Before debating whether a policy is desirable, it is worth examining how it is presented.

Measures are defended not because they are compulsory but because of the benefits they promise. The debate stops asking whether anyone has the right to impose certain conduct and begins judging the ends being pursued. Once that shift occurs, all that matters is deciding which ends justify the use of power and how far power may go to achieve them.

We might call this the Law of Benevolent Disguise: all politically acceptable coercion needs to present itself as assistance.

Not because there must be a centralized conspiracy or because public officials are cartoon villains. Power seeks legitimacy in order to expand without meeting excessive resistance. That is why restrictions are rarely presented as restrictions. The trick is not to show the club. It is to make the club look like an embrace.

The strategy is especially effective when the costs appear to fall on third parties. New taxes are announced as burdens on the rich. Regulations are presented as restrictions on large corporations. Controls are invariably justified as ways of correcting other people's conduct.

If the costs appear to be concentrated on an identifiable minority, few find reasons to object. Attention shifts away from the measure itself toward who must bear its consequences. Principles give way to the distribution of costs.

Public debt extends this logic through time. A government can build a project, provide a subsidy, or finance a service without collecting all the necessary resources at that moment. The benefit appears today, accompanied by ribbon cuttings, announcements, and visible results. The obligation is distributed among future taxes, inflation, cuts to other spending, or new debt issued to repay the old.

The cost does not disappear. Its date and recipient change.

In a private relationship, the borrower pledges their own assets and answers for their mistakes. A ruler commits resources that

must be obtained from present and future taxpayers. The ruler may receive political credit for the spending while others bear the obligation long after that ruler has left office.

Debt thus breaks the connection between decision and responsibility. The decision-maker does not necessarily pay; the player may have played no part in the decision and, in many cases, may not even have been born when it was made. It is a form of coercion exercised across time.

The possibility of refinancing makes the mechanism even less visible. When one obligation matures, the State can issue another to repay it. As long as creditors retain confidence, debt continues circulating without the accumulated principle ever being extinguished. Interest consumes resources, reduces room to respond to future crises, and pushes decisions forward that nobody wishes to face today.

Raising taxes imposes an immediate political cost. Borrowing allows the government to deliver today and collect tomorrow.

When a burden imposed on one group is accepted as a principle, reasons soon appear to extend it to others. An injustice ceases to be an exception and becomes the rule.

Here the law takes one of its most effective forms. The benefit appears universal. The cost belongs to someone else. Only later does it become clear that expanding power changes the conditions under which the entire society operates, and that its effects reach far beyond the groups originally singled out. Bastiat would immediately have recognized the logic of this process.

Power Does Not Burst In. It Seeps In

Have you ever stopped to think how many times you ask for permission over the course of your life?

From birth, our existence is recorded through certificates, birth records, identity documents, and official registries. Studying,

driving, marrying, opening a bank account, buying or selling a car, registering property, or leaving the country requires documents, authorizations, or validations. Building a house, adding a room, or making certain renovations requires advance permits. Opening a small business requires licenses. Numerous professions may be practiced only with licenses, registration, or certification.

Even more ordinary activities are governed by rules and requirements. To work, finding an employer is not enough. You must also register with public agencies, declare income, and pay taxes. Renting a home involves contracts subject to specific regulations. Hiring staff requires compliance with labor and social-security laws. Importing products, selling food, transporting goods, or undertaking certain economic activities involves navigating an extensive network of offices, forms, and administrative procedures.

The scale of this web often goes unnoticed. At the beginning of the twentieth century, US government revenues amounted to roughly 3 percent of GDP. Today they are more than five times that percentage. Public spending has grown almost ninefold. Federal regulation fills approximately 190,000 pages, not counting thousands of additional state and local rules.

The United States is a particularly visible case because of the availability of data and the size of its economy, but the phenomenon is far from exceptional. Public spending, the number of agencies, regulatory complexity, and state functions have risen steadily in virtually every modern democracy, from Europe and Latin America to Asia and Oceania.

Differences between countries lie mainly in the speed of the process and the point reached, not in its direction. Once acquired, powers rarely disappear, and the structures created to administer them become entrenched over time.

This rules out an explanation based on circumstances, individual leaders, or national traditions. When the same behavior repeats under left-wing and right-wing governments, in rich and poor countries, and under presidential and parliamentary systems, the explanation points to incentives.

What is truly striking is not that this process exists, but how thoroughly it has been normalized. More activities depend on authorization. Many of the most common acts of everyday life no longer depend solely on our own will, but on someone granting permission.

Over time, permission ceases to be seen as an exception. It becomes the rule. The Presumption of Liberty is reversed: no longer must power justify the restriction; the individual must obtain authorization to act.

Bureaucracy is often perceived as a mere nuisance. The real change occurs at another level. Each authorization redefines the relationship between the individual and power. Existing powers cease to require justification simply because they have lasted long enough. The customary becomes normal. Normally ceases to be debated.

Once that point is reached, attention shifts. The debate is no longer whether these powers should exist, but who should administer them, how to finance them, and how far they may extend. They are taken for granted.

The change rarely appears as a rupture. Every step looks small. Every new power appears limited. The accumulated result becomes much greater than the sum of the decisions that made it possible. Someone born into a world with central banks and hundreds of thousands of regulations rarely asks why they exist. They are part of the reality that person encounters.

Think of a red traffic light on a street with no vehicles—or, on a good day, one passing car. Over time, the pedestrian stops

asking why the rule exists or whether the circumstances that gave rise to it remain. The rule becomes part of the landscape. The pedestrian waits to cross.

The scene rarely draws attention. The existence of the rule is enough. Behavior becomes part of the daily routine and ceases to depend on the circumstances of the moment.

The example is not intended to debate whether a traffic light is useful, but to show the true victory of power: eventually it reaches a point where it no longer needs to defend itself. It simply exists.

Temporary Becomes Permanent

Acquiring a new power is only the beginning. Then another force emerges, less visible but equally important: the tendency of institutions to retain what they have already acquired.

This process can be called the *institutional ratchet*: an exceptional power creates interests, procedures, and structures that make reversing it increasingly costly.

Again, there is no need to assume corruption or bad faith to understand this dynamic. It is enough to recognize that every organization tends to preserve itself. Once created, interests, procedures, responsibilities, and structures arise that depend on its continued existence. An office established to solve one problem soon finds another. Then it identifies potential risks. Later, exceptions, special situations, and future scenarios emerge that also seem to require intervention.

Complexity advances in the same direction. There are no comparable incentives to simplify procedures, eliminate requirements, or reduce structures when they form part of the organization itself. One additional form requires new reviews. Reviews lead to new controls. Control creates exceptions. Exceptions require

procedures of their own. Viewed from the inside, every step seems perfectly reasonable.

Sharing functions, consolidating procedures, or eliminating duplication reduces autonomy, budgets, staff, and influence. What would be an inefficiency for a private company becomes, for each agency, a way to protect its own territory. Thus, the temporarily acquires an ambition to become permanent. Structures survive long after the circumstances that gave rise to them disappear.

In numerous countries, income tax was introduced during wars or in response to fiscal needs regarded as urgent. Its initial scope was often limited, and its defenders insisted that it was a temporary measure.

The phenomenon is not limited to taxation. Organizations created to respond to specific circumstances often find new objectives. The International Monetary Fund survived the collapse of the monetary system for which it was created and today performs functions very different from its original ones.

Emergencies end. The organizations created to address them often remain. It is no coincidence that Friedman liked to say nothing is so permanent as a temporary government program.

Nor is this characteristic exclusive to state organizations. Every organization tends to preserve the conditions that favor its survival. Nineteenth-century candle makers did not need to hate electricity to oppose it. It was enough to recognize that electricity threatened their business. Fortunately, they did not possess a monopoly on force or a legislator willing to protect them from competition.

What we see is the new power. What we do not see are the solutions that never came into existence because space was no longer available to others. Nobody can observe an innovation that was never attempted or a solution that never had the opportunity to be tested. Nor can that absence later be used as proof that

voluntary cooperation was incapable of solving the problem. Otherwise, we would still be using candles.

The Walls of Power

The expansion of power finds another ally: groups that benefit from it. Public policies frequently grant concentrated advantages to a minority while spreading their costs among millions of people. Beneficiaries have strong incentives to defend them. For everyone else, the individual cost is often too small to justify organizing opposition.

Following Olson's logic, inefficient subsidies, tariff protections, unnecessary regulations, and sectoral privileges may survive for decades even when they generate net losses for society as a whole. The beneficiaries organize. Everyone else rarely does.

Tullock studied the resources spent securing privileges rather than producing value. Krueger would later give this behavior a name: rent seeking. Profit ceases to depend on creating something others choose and instead depends on persuading political power to distribute an advantage.

Taxi licenses provide a familiar example. License holders have strong incentives to preserve restrictions that limit the entry of new competitors. For each holder, the benefit may represent a significant share of their wealth. For all users, by contrast, the cost is dispersed through slightly higher prices, reduced availability, or less innovation. The asymmetry of incentives helps explain why such privileges endure.

Regulation is often presented as a tool to protect consumers, workers, or citizens. Once created, it also erects barriers that favor those already operating in the market.

Stigler showed that regulation can also become a resource demanded by regulated industries themselves. The power to compel,

subsidize, or restrict entry has enormous economic value for those who succeed in directing it to their advantage.

Large organizations generally adapt to these barriers more easily than smaller competitors. They can hire lawyers, compliance specialists, and consultants. They can also absorb costs that would be prohibitive for small firms and newcomers. Over time, many regulations end up functioning as walls that protect those already in place.

Businesspeople and officials need not meet in a dark room to create privileges. It is enough for each to act according to their own interests. Bureaucracy introduces new rules. Established companies learn to operate under them. Every additional requirement raises the entry cost for future competitors. Over time, a regulatory moat forms. And those already on the other side are seldom too concerned about crocodiles.

Hoover entered the White House defending a limited State. The Great Depression rapidly changed the situation. Companies sought assistance. Local governments sought resources. Entire sectors demanded protection. Every demand found a response. He even promoted the Smoot-Hawley Act, one of the largest tariff increases in history. By the time he left office, the federal government exercised powers that would have been difficult to accept only a few years earlier.

Chapter Conclusion

The theorem establishes a limit, but no rule guarantees that power will remain within it. Constitutions, courts, and oversight can restrain abuses, although those who create, interpret, and enforce the rules belong to the very structure they are meant to restrict.

The State consists of people and organizations subject to concrete incentives. Budgets, jurisdiction, influence, and prestige generally grow as an institution expands, not as it contracts. At the

same time, responsibility is dispersed among offices and levels, making errors harder to identify and correct.

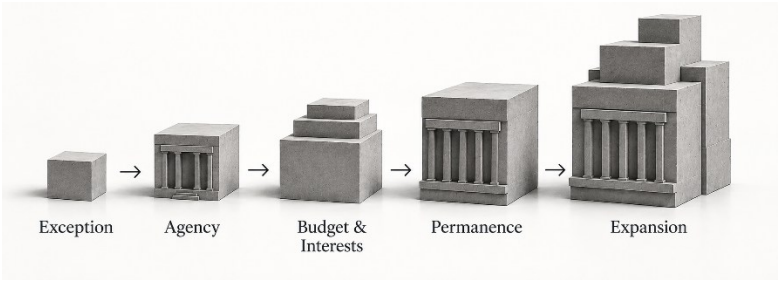
The Law of Benevolent Disguise summarizes another force of expansion: all political coercion needs to present itself as assistance. Taxes are called solidarity, regulations protection, and surveillance security. Benefits are emphasized, while costs are distributed among third parties, future taxpayers, or groups too dispersed to resist. The club thus takes on the appearance of an embrace.

New powers accumulate and eventually become part of the institutional landscape. The exceptional becomes customary, and the temporarily develops an ambition to become permanent. Emergencies disappear, but the organizations created to confront them find new functions and preserve the structures they possess.

The walls of power rise around them. Subsidies, licenses, privileges, and regulatory barriers concentrate benefits on small groups while distributing costs among millions. Those receiving the advantages have strong incentives to defend them, while those already occupying a protected position learn to use the rules themselves to make entry difficult for others.

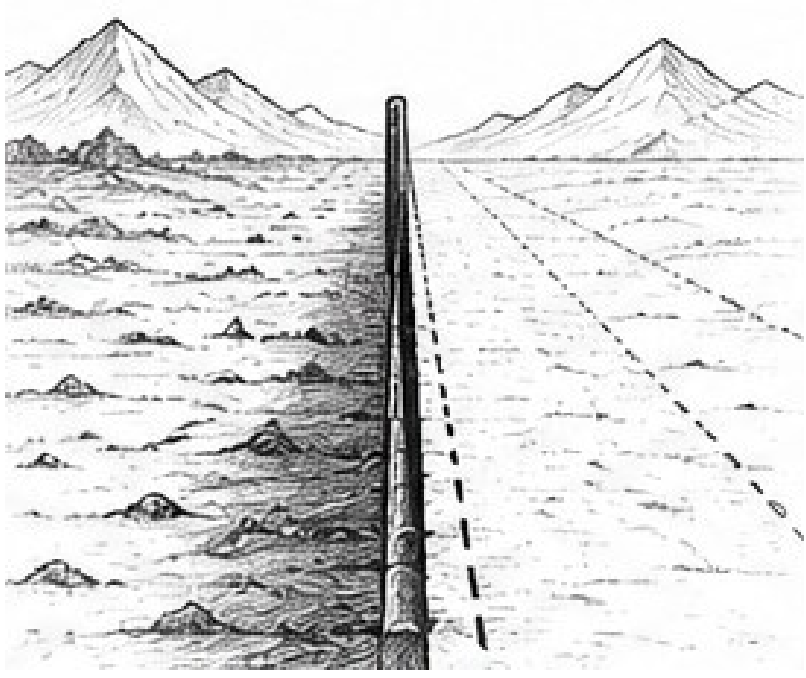
Internal incentives, institutional permanence, and vested interests all push in the same direction. A limit can be written down, monitored, and even respected for a time. None of that eliminates the forces that tend to move it.

The problem is not that the State does not want to limit itself. It is that it cannot.



10

The Tolerable Order



WHAT KIND OF SOCIETY emerges when power remains within its limits?

Liberty recognizes each person's own sphere in which to act, associate, and choose, together with an obligation to respect that same sphere in others. Aggression, subjugation, and taking what belongs to someone else belong to the realm of imposition, not liberty.

A society organized around that principle will still experience selfishness, fanaticism, ineptitude, conflict, and disastrous decisions. Human beings retain their virtues and flaws under any system. What matters is the capacity those flaws acquire to spread over others.

When decisions remain dispersed, their consequences remain limited as well. Each person, association, or community can follow a different path, leave failing institutions, and create new ones. A mistaken idea can cause harm and affect many people, but only political power can turn it into a general obligation.

Political power changes that dynamic. It turns preferences into general rules, distributes their costs among people who never chose them, and prolongs their effects long after their authors are gone. An error backed by coercion acquires scale, resources, and permanence.

Political power also shapes behavior. It teaches people what to expect, whom to turn to, who must respond, and how much effort is worth making. A society accustomed to the authorities solving every difficulty develops different habits from one in which people must cooperate, organize themselves, and bear the consequences of their own decisions.

The tolerable order begins with this relationship between power and character. Limiting the State also means limiting its capacity to shape citizens dependent on it. Liberty disperses

decisions, but it also cultivates responsibility, initiative, and a willingness to cooperate without waiting for instructions.

The Citizen Who Emerges

Every institution teaches. It does so through the behavior it rewards, the costs it allows people to shift, and the paths it opens toward goals. As North explained, this incentive structure accumulates over time until it becomes part of the expectations and customs of those who live under its rules.

Human nature remains. Ambition, generosity, greed, opportunism, creativity, and the desire for recognition accompany any system. Institutions channel these tendencies by defining which behaviors receive recognition, which paths offer greater opportunities, and which goals it becomes rational to pursue. Even a means can eventually come to an end when obtaining it is consistently rewarded.

In the voluntary sphere, securing other people's cooperation requires offering them a reason to participate. Self-interest must find a path compatible with the liberty of others. Those who wish to sell must attract buyers. Those who found associations must recruit members. Those who launch community initiatives must persuade others, gather resources, and retain the trust of those who support them.

That setting may also reward opportunism, manipulation, and the pursuit of short-term gains. Its distinguishing feature lies in the mechanisms of correction. Participants can withdraw their support, leave the relationship, or launch an alternative. Listening, honoring commitments, negotiating, building reputations, and changing courses become valuable because other people's cooperation is never guaranteed.

Resources belong to those who contribute them, and a poor decision falls first on those who made it. Politics opens another path. Someone can build a career within a political party, public office, or network of appointments, rise through loyalty, proximity, or obedience, and retain for decades a position no citizen directly elected. They may also turn to authority to obtain resources, protect allied organizations, block competitors, or shift their costs onto taxpayers.

The more space occupied by the State, the more activities depend on permits, budget allocations, regulations, exemptions, contracts, and administrative decisions. Behavior begins to orient itself toward those who can reward, promote, or protect. Learning to influence those people may become more profitable than answering to those who finance or receive the service. Procedure acquires more value than the recipient, and initiative begins to turn toward power.

Licenses, permits, credentials, and certifications have a similar effect. What initially serves to demonstrate ability, organize an activity, or reduce risks may become a requirement for participation. People and organizations then orient their efforts toward institutional approval, even when it no longer relates to the value they offer. Following the procedure begins to matter more than achieving the result.

The same logic runs through social life. Faced with a need, a community may organize itself or demand a government agency. Confronted with unpleasant conduct, it may respond through criticism, rejection, and association, or call for a prohibition. When a risk emerges, it may develop ways to address it or transfer its management to an authority. Each response distributes power differently and activates its own mechanisms of correction.

The Paradox of Tutelage

Tocqueville understood that extensive tutelage eventually diminishes the civic energy of those who live under it. An authority that takes care of every everyday concern saves immediate effort but also makes the practice of associating, deliberating, and solving problems less frequent. People formally retain their rights while losing the habit of exercising them.

This is the Paradox of Tutelage: intervention can weaken precisely the capacities whose absence will later be invoked to justify its continuation.

The process also works in reverse. Ostrom's research showed communities capable of creating rules, monitoring compliance, resolving disputes, and managing shared resources without depending on central direction. Cooperation produced the experience, relationships, and trust that later enabled it to be sustained.

Institutional *bootstrap* reappears here. A function absorbed by the State for decades leaves little room for alternatives to emerge, accumulate capital, learn from mistakes, and mature.

Authority occupies spaces in which people would otherwise have had to cooperate, decide, and assume responsibility. Over time, lack of practice reduces their ability to do so. That weakness cannot later be presented as proof that voluntary cooperation is incapable of sustaining the function.

Every time an authority replaces a voluntary response, it displaces part of social initiative. As that initiative weakens, it feeds new demands for intervention. What began as a response to a need ended up changing the people who were supposed to address it.

Dependence does not always precede the State that addresses it; often it emerges from the State itself.

The Right to Be Wrong

Treating people as adults means recognizing their authority over their own lives, including the possibility of making bad choices. Mill's experiments in living rest on this capacity: each person follows paths whose outcomes no one knows in advance and learns by facing their consequences.

Some will trust people who defraud them. Others will manage their resources imprudently, launch ventures destined to fail, or maintain harmful habits. There will also be family, professional, and personal decisions that appear absurd from the outside.

The law protects this sphere against violence, fraud, appropriation, and breach of obligations. Its function changes when it moves from restraining invasions by others to directing the life of someone acting upon themselves.

Bankruptcy, addiction, a failed investment, or poorly planned retirement can trigger an understandable impulse to protect. Turning that impulse into a rule changes the connection between decision and consequence.

Success reinforces behaviors. Failure forces us to revisit assumptions, abandon paths, and act more prudently. When the costs are systematically shifted to third parties, that learning loses its force.

The expectation of protection changes behavior before failure occurs. Someone counting on a bailout assumes different risks from someone risking their own resources. Politically supported activity no longer depends to the same extent on the trust of those who sustain it voluntarily.

Every bailout establishes a precedent. An exception conceived for an extraordinary circumstance creates new interests in receiving equivalent treatment and gradually broadens the scope of protection.

Increasingly personal decisions then come to be regarded as collective matters. Food, saving, consumption, work, housing, and healthcare become subject to criteria defined by others. Autonomy remains in rhetoric while its concrete substance shrinks.

Families, friends, associations, communities, and charities support people through difficult times. Voluntary cooperation preserves a relationship that coercion breaks: the contributor chooses to give, and the response can adapt to circumstances that no general rule can fully understand.

The Minimal Tolerance Theorem prevents the severity of a situation from becoming, by itself, an authorization to impose obligations. A tragedy may demand an immediate response. Coercion remains subject to the same standard.

This principle preserves the connection between liberty and responsibility. Those who retain the power to decide also retain reasons to seek information, plan, make agreements, save, care for themselves, and learn.

The right to be wrong preserves the possibility of learning, correcting courses, and taking responsibility. Liberty reduced to choices approved by authority looks far too much like obedience.

Liberty Is Not Comfortable

It is easy when it protects our own choices. It becomes demanding when it allows other people's choices to change our position.

Liberty allows a better product to displace an older one, a technology to make trade obsolete, and a new company to challenge established interests. It also protects communities organized around values rejected by their neighbors and people who abandon traditions or choose ways of life others consider mistaken.

The principle is tested when openness reaches our own interests or produces outcomes we reject. Competition wins support when it benefits consumers but loses sympathy when it reduces

income, requires adaptation, or eliminates protection. Calls for intervention also arise in response to high prices, poor-quality products, bad employees, and unattractive working conditions.

Hirschman captured those responses in two words: exit and voice. Leaving or trying to change things from within. In voluntary settings, both are usually available. People can seek another product, change jobs, leave an association, demand better terms, or create an alternative. Against political power, exit is far costlier and voice faces interests capable of treating criticism as a threat.

Authority makes it possible to replace those responses with a compulsory decision. Regulations, licenses, subsidies, prohibitions, and special protections may change the visible outcome, but shift costs onto consumers and taxpayers and block alternatives that have not yet emerged.

Protected positions no longer depend on their ability to retain support. Resources remain tied to uses others would no longer choose, and new responses face growing obstacles. Society preserves the family at the cost of preventing what might yet emerge.

That framework also shapes those who live under it. Someone who learns to seek protection from every change devotes less effort to preparing for it. Political security displaces prudence, learning, and the search for alternatives.

Nobody can guarantee that a job will continue to exist, an investment will succeed, a business will retain its customers, or a custom will remain intact. Uncertainty compels us to anticipate, save, learn, and adapt.

Eliminating uncertainty requires giving someone the power to decide which activities deserve protection, which changes must be stopped, and who will bear the costs. Every answer preserves one position and closes paths for others.

Living in freedom means coexisting with projects that begin, change, and disappear. It also means allowing others to compete,

innovate, and transform the environment, even when those changes harm positions that once seemed secure.

Chapter Conclusion

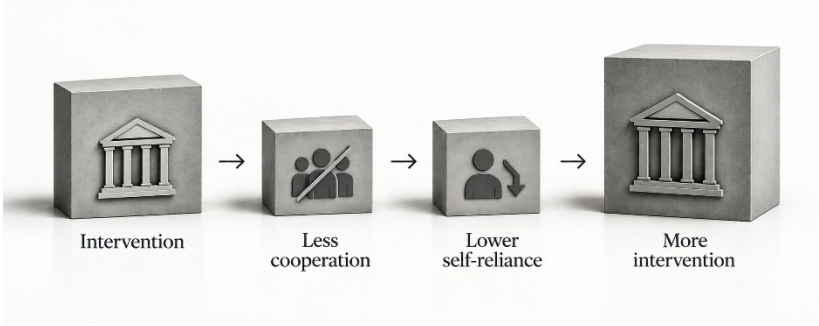
The tolerable order does not eliminate selfishness, fanaticism, or error. It limits their reach. When decisions remain dispersed, so do their consequences. Political power, by contrast, can turn a mistaken preference into a general, lasting obligation.

Institutions form habits. In voluntary settings, cooperation requires persuasion, the preservation of trust, and accountability to those who contribute resources. When authority occupies those spaces for decades, opportunities to organize, solve problems, and assume responsibility diminish. The Paradox of Tutelage arises when that weakening is later used as evidence that intervention is indispensable. Dependence does not always precede the State; often it begins with it.

Treating people as adults means recognizing their right to be wrong. Protecting them from violence, fraud, or appropriation is not the same as directing their lives. Systematically separating decisions from their consequences weakens learning, foresight, and responsibility.

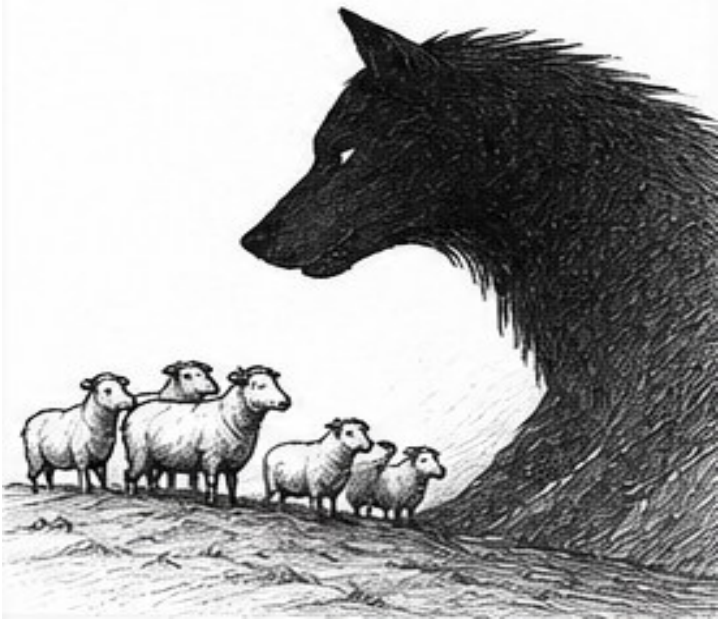
Liberty becomes demanding when others compete, innovate, or alter established positions. It also requires accepting that some decisions will end badly. Permanently protecting the family reduces the space available for what might yet emerge.

The tolerable order permits coercion to be considered only when the theorem's conditions are satisfied. Beyond that boundary, people cooperate, assume risks, learn, and construct their own responses. Citizens capable of living in freedom are formed by exercising it.


Intervention
Less cooperation
Lower self-reliance
More intervention

Epilogue

The Price of Ignoring the Limit



> "A leader is best when people barely know he exists. When his work is done and his goal accomplished, they will all say: 'We did it ourselves."
>
> —Attributed to Lao Tzu

THE PURPOSE OF THIS BOOK was never to imagine a society without conflict, mistakes, inequality, or absurd decisions, because no institution can escape the human nature of those who compose it. Ambition, prudence, generosity, greed, intelligence, and foolishness appear in families, companies, associations, and markets, but they also occupy ministries, parliaments, courts, and barracks. What makes political power distinctive is that its decisions can be imposed and financed with resources that do not belong to those making them.

The Minimal Tolerance Theorem establishes the threshold that coercion must meet before it can even be considered. The Presumption of Liberty maintains voluntary cooperation as the rule. Only when effective non-excludability, relevant non-rivalry, and persistent failure of voluntary provision are all present can a function qualify as an exception. All three conditions are necessary, but satisfying them does not automatically make any intervention tolerable.

The existence of extreme situations explains why the State retains an intellectual foothold that is difficult to dismiss. An invasion, an attack capable of destroying several cities, a devastating epidemic, or a threat directed against an entire population may present some of the strongest cases for considering responses no one would accept on an ordinary day.

Waiting until a bomb detonates before trying to stop it does not constitute respect for liberty, just as allowing preparations for a massacre to proceed openly until the first victim appears does not constitute prudence. The exception arises because the circumstances are exceptional too.

The shift begins when that logic leaves extreme circumstances behind and extends to increasingly ordinary situations. A power created to confront an extraordinary threat later discovers an injustice, a need, risky conduct, a strategic industry, or an outcome some authorities regard as imperfect. Every expansion arrives with an emotionally compelling reason, and none presents itself as the start of an unlimited increase in power. All promise to be small, urgent, reasonable, and temporary.

After the Japanese attack on Pearl Harbor, Roosevelt's government responded by removing more than one hundred thousand people of Japanese ancestry from their homes and confining them for years. The overwhelming majority were never individually accused of espionage, sabotage, or collaboration with the enemy, but their family origin was enough to make them suspects.

The measure came wrapped in national security, military prudence, and protection of the population. A real threat lent credibility to a response that did not follow from it.

What matters about the episode is less the judgment one makes of FDR than the ease with which one tolerable power can lend its name to another that is not. Defense against an attack may be among the strongest candidates to pass the test; imprisoning innocent people requires an independent examination.

That shift exposes another fragility: institutional limits appear firm if no one tries to cross them.

A constitution does not stop an army, a judicial ruling cannot open a prison door by itself, and a defeated president does not leave office because a piece of paper can expel him. Every one of

those rules depends on people willing to obey them even though they possess the material capacity to act otherwise.

The judge issues an order, and the police officer complies; the ruler loses and steps down; the soldier receives a civilian instruction and accepts it. Repetition makes these behaviors seem natural and ultimately conceals the obedience sustaining them. Everything seems to happen on its own until someone decides to interrupt the sequence.

Douglas MacArthur had accumulated prestige, authority, and public influence on an exceptional scale, and his initial successes reinforced the perception that he understood the conflict better than those directing it from Washington. Later, he insisted on expanding the war, striking targets in China, and assuming risks that could have turned a regional confrontation into a much greater catastrophe.

Truman dismissed him, and the decision is usually remembered as a confirmation of military subordination to civilian authority. It was, but that reassuring interpretation conceals the real lesson: the Constitution prevailed because MacArthur accepted his dismissal and because the military commanders obeyed the president. No physical force compelled them to do so.

The Paradox of Institutional Strength

If MacArthur had refused and the army had decided to follow him, the constitutional text would have retained every word and lost all its power. The institutional order survived because those capable of breaking it chose not to. Many other countries were not so fortunate.

Power can cross a boundary in two different ways. The first is abrupt: a person or group concentrates formerly dispersed powers and bears the visible cost of breaking the existing order. The second is gradual. No rule needs to disappear all at once; it is enough

for each new power to be limited, individually defensible, and then incorporated into the system.

The incentives differ as well. An abrupt seizure offers the successful actor an extraordinary prize: concentrated and potentially lasting control. But securing it requires overcoming simultaneous resistance and facing a high cost if the attempt fails. Gradual expansion reduces that cost. Every advance can be presented as exceptional or necessary, while its effects are dispersed and the structures created generate reasons to preserve it.

An institutional order may resist the first risk and remain vulnerable to the second. It may prevent an open seizure of power and simultaneously expand the scope of coercion for decades without a recognizable rupture. Institutional stability does not guarantee the stability of institutional limits.

The longer and more stable obedience to an institution becomes, the more the institution seems to sustain itself. That very stability can conceal the fact that its ultimate strength depends on people who continue choosing to respect it even though they could disobey it.

This dependence on human conduct does not make institutions useless. It makes them precious and vulnerable.

The State cannot reliably limit itself because those who interpret its boundaries, administer its resources, and execute its decisions belong to the very structure that is supposed to constrain itself. Power drafts the rules that circumscribe it, selects those who apply them, and retains the instruments needed to impose the chosen interpretation.

Sometimes it stops, sometimes it retreats, and sometimes a person in the decisive position respects a boundary they could cross. Institutional continuity depends too much on those moments for us to treat limits as a legal formality.

The Inertia of Power

On November 11, 1918, the armistice that would end World War I was agreed upon several hours before taking effect. The outcome was already decided that the terms had been accepted, and everyone knew the war would end that same day, yet attacks continued and soldiers kept dying during the remaining hours. The machinery continued moving until the appointed minute.

Power creates an office; the office creates procedures; procedures create positions, budgets, suppliers, and careers; all soon find reasons to preserve what they depend on. The original purpose may disappear without taking the resulting structure with it.

Russell considered power one of the most persistent motivations of human conduct. A person rarely gains prestige, influence, or promotion by demonstrating that their own position is unnecessary. Expansion gathers identifiable supporters; reduction offers dispersed benefits.

In the end, liberty never depends only on the rules we write. It depends on human beings who choose to respect those rules even when they violate them.

The theory developed in these pages grew out of an unease that no position could fully resolve. The moral critique of the State had always seemed difficult for me to refute. Economics led in the same direction. A noble intention may improve the disposition of the decision-maker, but it does not supply knowledge they lack or force them to bear the consequences of their mistakes.

The conclusion seemed to point toward anarchism. If coercion lacks moral legitimacy and the State faces limits it cannot overcome, rejecting every exception offers obvious consistency.

But following that conclusion to its ultimate consequences brought situations I could not ignore. Some threats reach people simultaneously who cannot be excluded from their effects, without

protection for some reducing what is available to others. In certain cases, the possibility of benefiting without contributing may weaken the incentives necessary to sustain provision. The decisive question is whether, despite the available alternatives, voluntary cooperation persistently collapses.

I could trust that some unknown solution would emerge, but trust does not constitute a theory. I could downplay the importance of those scenarios, although their rarity does not make them irrelevant. I could also accept the traditional answers, but none explained why some functions should be admitted while others remained outside.

Anarchism offered a principle without exceptions. Classical liberalism admitted exceptions, but without a single criterion capable of delimiting them. Minarchism restricted exceptions to a narrow set of functions without always explaining why exactly those rather than others. Minimal Tolerance emerged from that tension.

Constructing a criterion does not, however, eliminate the judgment of whoever must apply it. Reality rarely offers boundaries as clean as those that a theoretical formulation can draw. Determining when exclusion is effectively unviable, what degree of rivalry is relevant, or when voluntary provision has collapsed requires interpreting evidence, circumstances, and particular institutions. I tried to reduce that space as far as possible. Pretending to eliminate it would have meant claiming precision these problems do not possess.

Applying the standard also revealed a less comfortable difficulty: whoever formulates a rule is not exempt from it. I, too, may feel tempted to interpret a case in a way that leads to a conclusion I would prefer. That possibility does not make the theorem useless. It makes it more important to keep two questions separate: what result it produces and what result its user would like it to produce.

When the two coincide, the distinction goes unnoticed. The real test comes when they do not.

Minimal Tolerance does not seek to turn politics into arithmetic or replace human judgment. It seeks to discipline it. It may leave gray areas, permit disagreement, and even produce conclusions uncomfortable to those who use it. Its usefulness depends precisely on resisting the temptation to change the standard whenever we dislike the outcome.

An exception without review eventually becomes part of power's permanent possessions. The saying attributed to Lao Tzu that opens this epilogue offers a particularly apt image with which to close the journey.

The idea extends beyond the personal humility of a ruler. It describes a form of power that does not replace other people's actions or need to claim credit for their achievements. The leader fulfills a function and then leaves the center of the stage; collective successes do not become proof of the leader's own importance.

Applied to minimal tolerance, the idea becomes extraordinarily precise. The best State is not the one society credits with everything that works, but the one whose intervention is so exceptional and limited that people continue recognizing themselves as authors of their own lives.

The modern State often follows the opposite path. It intervenes, directs, finances, regulates, authorizes, and announces, then presents as its own accomplishment what millions of people have produced through their work, knowledge, and cooperation. The more space it occupies, the easier it becomes to confuse society with the creation of the State.

Tolerable power does not seek the spotlight, replace people, or turn them into spectators of their own existence. Here, the State occupies the position of an institutional technology of last resort: it may be considered only when voluntary cooperation has been

shown unable to sustain the function, acts within the exception's narrow boundaries, and withdraws when circumstances change.

Its success is measured not by how many activities it controls, but by how much room it preserves for society to act on its own.

A free society need not deny human flaws. It needs to remember that those same flaws write laws, manage budgets, command armies, and decide when an exception should end.

A grant of power should not be judged by how those governing today will use it, but by how it might be used tomorrow by the people we would least want to hold it. Granting power because we trust its current custodians mean granting it to their successors as well.

The boundary cannot defend itself. Every exception must retain the conditions that allowed it and disappear when they cease to hold. It depends on people willing to recognize a transgression before habit turns it into another power.

Power will always find reasons to advance. Liberty depends on someone refusing to grant them.



Acknowledgments

THESE PAGES GREW out of years of reading, reflection, debate, and learning. Their ideas are drawn on books, academic papers, interviews, lectures, and other sources that broadened my perspective and forced me to reexamine my own convictions.

They also bear the imprint of countless exchanges. Agreements helped refine the arguments; disagreements tested, corrected, and strengthened them.

My gratitude goes to those who dared to question established ideas, defended intellectual freedom, and enriched the debate with their contributions.

A Note on the Use of Artificial Intelligence

During the preparation of this work, AI was used as a supporting tool for research, editing, translation, image creation, and critical review of the text.

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